Global Innovation Institute

GII Research Note No. 2 | White Paper | Digital Infrastructure & Real Assets

Power-Constrained Silicon Valley

Data Center Real Estate Underwriting 101

A commercial real estate investor's guide to site selection, development, entitlement planning, build-out costs, construction financing, leasing and equipment installation.

Dr. Cervantes Lee | Global Innovation Institute
GII Executive Director · UNLV Business Faculty · MIT MSRED

October 22, 2026 · Version 1.0 · GII Research Note No. 2 · Companion: GII 10MW Underwriting
Information cutoff: October 22, 2026; individual source observation periods are identified throughout.

Executive thesis

Scarce power is an opportunity, not an investment conclusion. Silicon Valley is a particularly revealing place to test that proposition: the City of Santa Clara reports that Silicon Valley Power stopped accepting new data center load applications in 2023 [39]. A real estate investor captures value only when site rights, usable electrical capacity, construction funding and enforceable payment obligations come together. An attractive building cannot earn rent while power, acceptance or collection remains unresolved.

This paper follows one deliberately simple hypothetical 10 MW property from land purchase to sale. The scale is chosen so an investor can see the entire financial chain—development cost, a $225/kW/month lease, property NOI, construction financing, tenant economics and terminal value—without needing the workbook. The case is a teaching example, not an assertion that ten megawatts is the most efficient campus design. The conclusion is **proceed to evidence-based diligence—not unconditional investment approval**.

Exhibit 1 | The 10 MW case in eight numbers

Measure	Illustrative result	What the number represents
Critical IT capacity	10 MW	Rated computing capacity; not a utility-service commitment
Total Development Cost	**$207.73m**	**Land, facility and construction finance; excludes GPUs**
Developer equity	$90.79m	Economic funding under the modeled land purchase
Annual capacity rent	$27.00m	Full billability at acceptance; before expenses
Year-one property NOI	**$19.75m**	**Before facility reserve and debt service**
After-reserve coverage	2.29×	Cash after reserve / operating interest
Development Yield	9.51%	Assumed stabilized annual property NOI / Total Development Cost
Equity receipts from sale	64.65%	Share of cumulative modeled equity receipts from the Year-10 sale

Source: Inputs, Development, Landlord and Monthly CF tabs of GII 10MW Underwriting. The figures describe the hypothetical 10 MW landlord, not an actual GMI Cloud property.

EXECUTIVE ASSESSMENT

Investment perspective: scarcity must become cash

The central debate is who captures value—not simply whether AI infrastructure grows.

The property thesis has three requirements. Capacity must be deliverable; the contract must make that capacity billable; and the tenant must be able to pay. Financing links the stages but also creates obligations before the investment produces revenue. A credible case therefore follows the movement from commitments to completed delivery and then to collections.

Exhibit 2 | Constructive view, GII assessment and downside interpretation

Question	Constructive view	GII assessment	Downside interpretation
Power scarcity	A ready site can command a premium.	Value the deliverable capacity and its timing, not the announced MW.	Connection costs or delays can consume the premium.
Long leases	Contractual duration can support financing.	Test acceptance, remedies, legal entity and payment support.	A long obligation can outlast the tenant's customer contracts.
Large customers	Recognizable customers can indicate demand.	A customer or investor is not automatically the landlord's guarantor.	The landlord may have no direct claim against the recognizable name.
Capital availability	Equity and credit can accelerate deployment.	Separate capital committed, drawn, restricted and still available.	Borrowing may be pledged to equipment or another subsidiary.
Model returns	The model produces positive cash flow and an attractive-looking IRR.	The result is conditional on cost, collection, funding and terminal assumptions.	Default, retrofit and combined shocks are not fully modeled.

What the numerical case establishes

The landlord model produces $19.75 million of year-one NOI against $207.73 million of Total Development Cost. The resulting 9.51% Development Yield is arithmetic on stated assumptions, not an observed market capitalization rate. Year-one equity cash flow is $10.56 million after the recurring reserve and interest. The annualized levered IRR is 16.81%, including the modeled sale.

What it does not establish

No actual parcel, utility commitment, construction bid, lease, tenant guarantee or lender commitment is documented for this hypothetical project. There is no probabilistic default model or independently appraised exit value. The worksheet checks reconcile calculations; they do not certify a project's feasibility or an issuer's creditworthiness.

GII CONTROL POINT | The investor needs control of the delivery-to-payment chain. A strong macro narrative cannot substitute for the documents that create those rights.

Source: Start, Landlord, Monthly CF, Lease Screen and Checks tabs of GII 10MW Underwriting. Investment-debate architecture follows the GII HFFG paper [22]; these property conclusions are separate.

AUTHOR'S NOTE

From Taco Chips to Semi Chips

The asset class changes. The discipline of following capital into physical businesses continues.

I think of this extension of my research as moving from **taco chips to semi chips**. The phrase is lighthearted. The investment questions are not.

My earlier GII work examined restaurant systems, foodservice infrastructure and the operating economics that allow physical businesses to expand. Behind the consumer-facing brand, I kept returning to familiar questions: Who controls the location? Who pays for improvements? What equipment must be installed? When can the business begin operating? Does growth produce cash, or simply require another round of capital?

As I reviewed neocloud financing and AI infrastructure discussions, those questions returned under a different vocabulary. The conversation was now about megawatts, GPU clusters and long-term computing contracts. Yet a site still had to be selected, approvals obtained, scope defined, construction funded, equipment installed and the completed facility accepted. **Data center real estate is the bridge between the two kinds of chips.**

I do not suggest that a restaurant, warehouse and AI data center are interchangeable. Reliability engineering, utility service, commissioning and computing economics require specialist expertise. The transition is an application of real estate and capital-allocation discipline—not a claim that sector-specific execution experience can be acquired by changing a headline.

Why use 10 MW in Silicon Valley? The number makes a complicated infrastructure investment tangible. A six-acre site, a modeled $48 million land commitment and a $207.73 million development budget can be followed through a lease, an electric bill, debt service and a sale. Yet Santa Clara's grid constraints expose the hardest question: when will capacity actually be usable? This is a deliberately scaled teaching case, not a claim that a stand-alone 10 MW building is the optimal campus or that a particular site has secured power.

Exhibit 3 | Seven real estate workstreams carry into the new asset class

Workstream	The data center question
Site selection	Which location can support the required capacity and customer use?
Development	What must the owner deliver, in which phases and with whose approvals?
Entitlement planning	Which permissions, constraints and conditions can change the schedule?
Build-out cost	Where is the boundary between shell, facility systems and tenant equipment?
Construction financing	Who funds land, draws, interest and a delayed opening?
Leasing	What makes capacity accepted, billable and collectible?
Equipment installation	Who installs, tests, maintains and replaces each asset?

This paper gives **commercial real estate investors** a way to make those connections. It is also an extension of GII's research into **the control points of capital and physical infrastructure**—where ownership, contractual rights, operational capability and financing determine who captures value. From taco chips to semi chips, the subject changes; the discipline of following capital into operating cash flow continues.

Source: Author's perspective; methodological continuity with GII publications [21–24].

READER NAVIGATION

Contents

Research, worked explanations, source citations and seventeen readable model exhibits appear in this report. The Excel workbook is an optional companion for readers who want to change assumptions or inspect formulas.

Section	Pages
Executive thesis and investment perspective	1–2
From Taco Chips to Semi Chips	3
Chapter roadmap and evidence guide	5
PART I | DEFINE THE OPPORTUNITY	
1 The digital economy still depends on physical real estate	6–7
2 Size the market before sizing the opportunity	8–10
3 Understand MW through capacity, energy and rent	11–14
4 Follow the assets, contracts and cash	15–16
PART II | UNDERWRITE THE PROPERTY	
5 Site selection, entitlements and delivery	17–20
6 Development cost, scope and ownership boundaries	21–25
7 Make the lease billable and the obligation credible	26–28
8 Electricity, operating expenses and property NOI	29–32
9 Financing, cash-flow timing and investment returns	33–36
PART III | UNDERWRITE THE TENANT AND CAPITAL	
10 CoreWeave versus Nebius: issuer data and lease credit	37–41
11 GMI Cloud: an independent financing case	42–43
12 Property owner versus integrated cloud operator	44
PART IV | TEST RESILIENCE AND DECIDE	
13 Sensitivity, interruption and refinancing	45–47
14 The investment committee decision	48
REFERENCE AND MODEL EXHIBITS	
Essential vocabulary and formula reference	49
Workbook navigation and exhibit index	50
Bibliography: public sources and referenced research	51–54
Methodology, author and publication controls	55
Appendix | E01–E17: complete investor-exhibit tables	56–72

READING ROUTE | Start with pages 1–5. Development cost and yield are explained on pages 21–25. Bibliography: pages 51–54. Model exhibits: pages 56–72.

This report contains the principal assumptions, calculations and findings needed to follow the 10 MW case. The companion workbook permits formula-level replication; editing that file does not automatically change the published Word or PDF text.

CHAPTER ROADMAP

How the chapters reach one investment decision

Every stage produces evidence needed by the next stage—not permission to skip it.

Stage	What the chapters do	Decision output
01 | DEFINE	Ch. 1: translate industrial real estate Ch. 2: define the market Ch. 3: understand MW and rent Ch. 4: map assets and payments	Output: an investment with clear boundaries.
↓		
02 | UNDERWRITE	Ch. 5: site, permits and delivery Ch. 6: budget and build-out Ch. 7: lease and support Ch. 8: power and NOI Ch. 9: financing and exit	Output: a property cash-flow model.
↓		
03 | TEST THE TENANT	Ch. 10: CoreWeave–Nebius credit Ch. 11: GMI financing evidence Ch. 12: ownership structures	Output: a payment-capacity assessment.
↓		
04 | DECIDE	Ch. 13: cash needs under stress Ch. 14: investment conditions	Output: proceed, reprice or pause.

How to interpret the evidence

GII 10MW Underwriting is the numerical teaching case. Numbered references identify publications in the bibliography. Model assumptions, company disclosures, third-party estimates and GII analysis remain distinct, with dates and limitations attached.

Company disclosures and broker data are dated evidence, while the 10 MW property is an illustrative case. Chapter 10 separately identifies the October credit-market reporting. The financial numbers, their units and their investment meaning are explained in the chapters; the separate workbook provides additional audit detail.

SCOPE | This is independent educational underwriting research, not an appraisal, engineering design, legal opinion, credit rating or recommendation to transact. GMI Cloud is a case-study subject, not the sponsor or the actual tenant in the model. No Goldman Sachs affiliation is implied.

Source: Reader Guide and Research tabs of GII 10MW Underwriting; evidence-label discipline in Leo Cui [18] and GII publication practices [21–22].

PART I | DEFINE THE OPPORTUNITY

1 | The digital economy still depends on physical real estate

Investor question: what changes when the property must deliver reliable computing capacity?

An industrial-property investor already knows that a site's usefulness depends on access, permitted use, improvements and tenant economics. In Santa Clara, the additional gating issue is the availability and timing of utility service. The 10 MW case carries the familiar real estate questions into a facility that must satisfy strict electrical, cooling and acceptance specifications before generating rent.

The starting point is not a claim about the total value of AI. It is a specific ownership proposition. The developer purchases land, constructs a commissioned facility and leases reserved IT capacity. The hypothetical tenant owns or finances the computing equipment and sells services to its customers. The landlord receives capacity rent and electricity reimbursement; it does not receive the tenant's computing revenue.

Exhibit 4 | Translate the familiar question before adding new terminology

Industrial real estate question	Question in the 10 MW case	Evidence required
What can be rented?	What IT capacity, configuration and service can be delivered?	Design and delivery specification
What is the build-to-suit scope?	Which permanent systems are the owner's responsibility?	Scope and equipment demarcation
When does the lease begin?	Which tests and acceptance milestones trigger billing?	Lease and acceptance protocol
Who pays operating costs?	What is inside the capacity charge and what is reimbursed?	Operating and utility schedules
What happens on reletting?	Can another customer use the capacity without major retrofit?	Alternative-use and engineering assessment

Strategic relevance is not an investment conclusion

This distinction extends a discipline in GII's earlier work. HFFG is analyzed as infrastructure supporting restaurant procurement and replication, while its shareholder economics are tested separately. The same reasoning applies here: a facility can be essential to a cloud operator and still be an unattractive property investment at an excessive cost, an uncertain delivery date or weak contractual terms. [22]

The useful question is therefore where control resides. Site control can make a development possible; a service agreement can specify power; construction funding can move a project forward; acceptance and payment terms can make it billable. None is a complete substitute for the others. The model organizes their financial implications, while the diligence checklist identifies the documents needed to establish them.

IN PLAIN ENGLISH | The investor is not buying "AI growth." The investor is funding a defined asset with a delivery promise and a payment claim. Value depends on whether those promises become an operating, collectible cash flow.

Source: Start, Development, Landlord and Lease Screen tabs of GII 10MW Underwriting; GII HFFG paper [22]. The property characteristics are teaching assumptions.

GII UNDERWRITING 101 | WORKED EXPLANATION

1 | Define the investment before discussing AI

The model is a landlord development, not a purchase of the tenant's computing business.

Begin with an ordinary investment memorandum. Identify the asset being acquired, the improvements being delivered, the customer paying for their use and the capital required before the first payment. In this case the asset is land and a commissioned 10 MW facility. The tenant's GPU fleet is a separate investment. An attractive cloud-revenue narrative does not automatically become the landlord's revenue.

The case has three different financial perspectives. Total Development Cost describes what it takes to deliver the property. Property NOI describes the annual income left after property operating expenses. Cash flow to equity describes what remains after the modeled capital reserve and operating interest. Identify the perspective before comparing a figure with another property.

Exhibit 5 | Four investment questions and financial perspectives

Question	Measure in the model	What it does not answer
What does the property cost?	Total Development Cost: $207.73m	The tenant's GPU and cloud-business capital.
What does the property earn?	Year-one property NOI: $19.75m	Debt service or the recurring capital reserve.
What reaches the investor?	Year-one equity cash: $10.56m	Income taxes, investor promote or unmodeled losses.
What is the return over time?	Monthly project and equity cash flows	Whether rent, delivery or sale assumptions will be achieved.

A familiar discipline with a different delivery specification

An industrial investor asks whether a building has suitable loading, access and permitted use. Here the specification also asks what usable IT capacity can be delivered, which systems support it, and what tests trigger acceptance. The model does not answer those engineering questions. It shows where their consequences enter the investment.

The first decision is therefore not whether AI is important. It is whether the proposed ownership, physical scope, operating responsibility and cash claim describe one coherent property investment. Regional market statistics and the tenant's growth story can then be used to test that proposition.

> **IN PLAIN ENGLISH |** Start with what you own, what you must deliver, what you may bill and what you must fund. You do not need to value an AI model to identify those questions.

Source: Start, Development, Landlord and Integrated tabs of GII 10MW Underwriting. This page explains the illustrative ownership boundary; it adds no project facts.

PART I | MARKET MEASUREMENT

2 | Size the market before sizing the opportunity

Inventory and vacancy describe a source's universe—not an automatic opportunity at a particular site.

The model market sheet records three local markets using one CBRE source set. That makes the comparison more disciplined than assembling the largest available number from each publication. The figures remain market-level observations with their own measurement date, not current listings or evidence that a single 10 MW block can be leased.

Exhibit 6 | Local market observations carried by the model

Market	Inventory MW	Available MW	Calculated vacancy
Northern Virginia	4,496.5	10.8	0.24%
Silicon Valley	509.2	21.2	4.16%
Phoenix	1,069.2	12.1	1.13%

Calculated vacancy = available MW / inventory MW from the stored rounded inputs. It can differ from the publisher's separately rounded rate. CBRE market release [13]; Q2/H1 2026 observations as recorded in the model.

Silicon Valley's 21.2 MW of reported availability is not the same as two ready-to-occupy 10 MW facilities. Capacity may be scattered among sites, delivery dates, rack configurations and service arrangements. The City of Santa Clara is also only part of the regional market. The model's Silicon Valley Power rate reference cannot be applied to every parcel in Santa Clara County.

Exhibit 7 | Broader construction measures remain separate

Measure	Value in the source record	Coverage / limitation
CBRE operating supply	10,903.0 MW	Eight primary-market wholesale universe; H1 2026
CBRE construction	7,481.1 MW	Pipeline, not completed operating supply
CBRE construction preleased	80.4%	Commitment share; not proof of delivery or tenant solvency
JLL construction	More than 66 GW	Broader North American coverage; not additive to CBRE

Translate the regional statistic into an address-level question

For the subject property, the investor needs a competitive set with the same use, power definition, cooling requirement, delivery window and commercial scope. Asking rent should be distinguished from achieved rent, and a capacity quotation should identify what operating costs are included. CBRE reported Silicon Valley asking rents of $200–$275/kW/month in its H1 2026 release [11]. The assumed $225/kW/month charge includes non-power operating costs and is not a verified 10 MW lease quotation.

WHAT WOULD CHANGE THE VIEW | Demand evidence becomes more useful when customers commit to the specific location, configuration and delivery date. The thesis weakens if nearby, technically comparable capacity is available sooner on better terms.

Source: Market and Research tabs of GII 10MW Underwriting; CBRE and JLL records [11–15], the GII Training Library [27] and Leo Cui [18]. Each source retains its own period and coverage.

GII UNDERWRITING 101 | WORKED EXPLANATION

2 | Convert market statistics into a competitive set

Reported available MW do not necessarily form one property ready for one customer.

The local table is a screening tool. It records 509.2 MW of inventory and 21.2 MW of availability in Silicon Valley. Dividing 21.2 MW of available capacity by 509.2 MW of inventory gives a calculated vacancy of 4.16%. That result says nothing by itself about the size, configuration or delivery date of an individual available block.

For a 10 MW investment, dividing 21.2 MW by 10 produces 2.12 project-equivalents arithmetically. It does not establish that two competing 10 MW buildings exist. Capacity could be distributed across sites, with different technical specifications or readiness dates. Combining the numbers does not create a deliverable substitute for the proposed tenant.

Exhibit 8 | The project-level comparison file

Screen	Question to answer	Evidence needed
Capacity	Is the offer measured as IT MW?	Matching capacity definitions.
Configuration	Can the customer use its cooling and density?	Design and service specification.
Date	When is the capacity acceptable?	Commissioning and handover milestones.
Commercial scope	Which costs are included in the rent?	Rent and expense-recovery schedule.
Commitment	Is it available or already reserved?	Current availability and contractual status.

Keep regional and property conclusions separate

A regional vacancy statistic can support a discussion of market tightness. A property decision requires a matched competitive set. The source observations retain their original reporting periods. The comparison file above is a proposed diligence process, not a new survey of current listings.

The same rule applies to construction pipelines. A preleased development may compete for utility, equipment or construction resources without offering unleased space to the same customer. Conversely, an announced campus does not establish near-term supply. Identify the mechanism before concluding that a large number supports or weakens the property thesis.

GII CONTROL POINT | Use market size to ask better questions. Use address-level capacity, timing and commercial evidence to answer the investment question.

Source: Market and Research tabs of GII 10MW Underwriting; CBRE source records [11–13]. Project-equivalents are explanatory arithmetic, not an inventory count.

CONTINUED | MACRO CONTEXT

2 | Turn thematic research into property questions

Use the reference reports to improve the questions—not to import a forecast into the base case.

The cited Goldman Sachs reports trace AI infrastructure through demand and execution constraints. The February 2026 report uses six categories; the August edition adds the physical environment. Their application here is an analytical translation into site diligence and capital planning. The 10 MW assumptions have not been reset to their forecasts. [19, 20]

Exhibit 9 | From the Goldman Sachs 7 Ps to a property diligence agenda

Source framework	Property-level question	Potential model exposure
Pervasiveness	Who needs the service at this site, and for which workload?	Leasing and customer concentration
Productivity	Does the proposed hardware change density or facility requirements?	Fit-out scope and later retrofit
Price	What electricity cost and capacity rent can the tenant support?	Occupancy burden and collections
Policy	What approvals and operating conditions apply to this project?	Schedule, scope and mitigation
Parts	Which electrical and cooling components determine delivery?	Procurement and interest carry
People	Who can install, operate and commission the facility?	Execution cost and readiness
Physical environment	How do heat, water and neighboring uses affect the design?	Cooling, power, noise and residual risk

Measurement discipline matters as much as the forecast

The source reports do not measure exactly the same thing at each date. Their reinvestment analysis includes R&D alongside capital expenditure and adds R&D back to operating cash flow in the denominator. That ratio is not capital expenditure divided by operating cash flow, and neither ratio is a project yield. The paper therefore uses the framework without presenting a company-wide spending statistic as a return on this property. [19, p. 9; 20, p. 15]

Leo Cui's report supplies a complementary discipline: demand, delivery and economics must be assessed together, with a clear statement of what each finding does not establish. Low leased-space vacancy, for example, is not a reading of how busy installed GPUs are. Likewise, a supplier's strong earnings do not establish the purchaser's return. [18; pp. 3 and 6]

A deliberately narrower GII conclusion

This white paper does not attempt a new global capacity census or a 2030 power-demand forecast. It asks which external conditions could alter an address-level development, a tenant's payment capacity or the amount of additional capital required. That narrower conclusion is more actionable for a real estate investor than simply extending a national growth chart into a property valuation.

GII CONTROL POINT | A constraint matters financially only after identifying who bears it, which contract allocates it, and where it changes cost, timing or cash collection.

Source: Goldman Sachs February and August 2026 reports [19–20]; Leo Cui, October 2026 [18]. Their frameworks inform diligence; forecasts are not imported into the case.

PART I | UNDERWRITING UNITS

3 | Understand MW through capacity, energy and rent

One MW is 1,000 kW. The economic meaning depends on which capacity is being measured.

For this case, **10 MW means 10,000 kW of rated critical IT capacity**: the power available to computing, storage and networking equipment within the agreed facility boundary. It is not 10 MW of annual energy use, and it is not proof of a utility's promise to deliver that capacity to an actual site.

Exhibit 10 | Convert reserved capacity into contractual revenue

Billable IT capacity	Reserved kW	Monthly rent at $225/kW	Annual capacity rent
1 MW	1,000	$225,000	$2.70m
5 MW	5,000	$1,125,000	$13.50m
10 MW	**10,000**	**$2,250,000**	**$27.00m**

The calculation is capacity × price × time. A tenant that reserves all 10 MW pays for the reservation under the assumed lease even when its computers draw less electricity. This is why contractual billability can remain 100% while the modeled average IT electrical load is 85%. The lower electrical load reduces modeled energy consumption; it does not reduce capacity rent.

Exhibit 11 | Three quantities that should not share one "utilization" label

Quantity	Model Definition	Used to calculate
Contractually billable capacity	Share of rated IT capacity contractually subject to rent; 100% in this case	Landlord capacity revenue
Average IT electrical loading	Average IT power / rated IT capacity; 85%	IT energy and facility electricity
Paid GPU-hour fraction	Revenue-producing hours / installed GPU hours; 75% in the optional cloud case	Illustrative external compute revenue

The question behind a "10 MW" announcement

Ask whether the number describes a utility request, an executed commitment, gross facility power, IT capacity, leased capacity, energized capacity or billable capacity. These are related stages and measures, not interchangeable labels. A pipeline diagram should track a project's status without repeatedly adding the same megawatts as they pass through different stages.

> **IN PLAIN ENGLISH** | Capacity describes what can be accommodated. Energy describes how much electricity is used over time. Billability describes what must be paid for. Paid computing use belongs to the tenant's business, not the landlord's occupancy figure.

Source: Inputs, Power and Landlord tabs of GII 10MW Underwriting; GII Valley101 report [25]. Prices and utilization are assumptions, not company contracts.

GII UNDERWRITING 101 | WORKED EXPLANATION

3 | Read the units like a property investor

A small unit check prevents a large underwriting error.

The model prices reserved IT capacity at $225 per kW per month. First convert 10 MW to 10,000 kW. Multiplying capacity by the monthly rate produces $2.25 million of monthly rent; multiplying by twelve gives $27.00 million annually. This is a capacity reservation charge, not an electricity charge.

Electricity is measured over time. The facility does not consume “10 MW per year.” At the assumed 85% average IT electrical loading, its equipment draws 8.50 MW on average. Over 8,760 modeled hours, that becomes 74,460 MWh of IT energy. PUE then converts IT energy into total facility energy.

Exhibit 12 | The same 10 MW produces different answers depending on the unit

Calculation	Model Result	Meaning
10 MW × 1,000 kW/MW	10,000 kW	Reserved critical IT capacity.
10,000 kW × $225	$2.25m per month	Capacity rent at full billability.
$2.25m × 12	$27.00m per year	Annual capacity rent.
10 MW × 85%	8.50 MW	Average IT draw in the case.
8.50 MW × 8,760 hours	74,460 MWh	Annual IT energy.
74,460 MWh × 1.36	101,265.6 MWh	Annual whole-facility energy.

The building-area comparison is only a cross-check

The case assumes 100,000 gross square feet. Annual capacity rent divided by that area is $270 per gross square foot per year. That helps an industrial investor understand the magnitude, but it is not a warehouse rent comparable: the owner is delivering specialized systems and paying non-power operating costs included in the capacity charge.

Neither the area nor the MW figure establishes a universal floor-area-to-capacity conversion. Building area is a planning placeholder. Rack layout, redundancy, cooling and electrical design require independent testing before the arithmetic can be used as an engineering conclusion.

> **IN PLAIN ENGLISH |** MW describes capacity; MWh describes energy over time; dollars per kW per month describes the rental pricing basis. Keep the denominators visible.

Source: Inputs, Power and Landlord tabs of GII 10MW Underwriting. All prices and utilization assumptions refer to the teaching case.

CONTINUED | INPUT DISCIPLINE

3 | Read the assumptions before the return

The base case is a coherent scenario, not a collection of independently verified project terms.

Exhibit 13 | The assumptions that define the 10 MW case

Input	Base case	Interpretation
Site / building	6 acres / 100,000 gross SF	Planning placeholders; no parcel feasibility study
Construction	24 months	Fixed schedule structure, not an engineering conclusion
Capacity rent	$225 / IT kW / month	Includes non-power facility costs; excludes electricity
Initial billability	100% at acceptance	No phased ramp or free rent
Lease / operating hold	15 years / 10 years	Five years of assumed lease term remain at sale
Rent / non-power cost escalation	2.50% / 3.00% annually	Separate growth assumptions
Average IT load / annual PUE	85% / 1.36	Energy assumptions, not guaranteed operating results
Electricity reference	$0.159/kWh	Blended reference; not a parcel-specific tariff
Debt advance	60% of eligible pre-financing uses	Interest and fees funded by equity
Construction / operating interest	8.00% / 7.00% annually	Operating debt is interest-only
Exit cap / selling costs	7.00% / 2.00%	Valuation and transaction-cost assumptions
Annual facility reserve	$1.00m	Year-one reserve below NOI; 3% annual growth.

Why MW cannot be translated into one fixed floor area or GPU count

The building's size and the optional 4,000-GPU fleet are separate assumptions. They are not engineering outputs of the 10 MW capacity figure. Rack power, non-GPU IT load, cooling, layout and resilience requirements must be checked together. The NVIDIA hardware reference in the model is architecture-specific; it is not a universal conversion factor for GPUs per MW or square feet per MW. [3]

PUE requires an equally clear boundary. At the modeled 1.36 ratio, full 10 MW IT loading would imply 13.60 MW of facility draw in the simplified conversion. The average modeled draw is lower because the IT load is 85%. Neither result sizes the actual utility connection or proves the redundancy design. A qualified engineer must establish peak requirements and the full service specification.

MODEL-EDITING RULE | The 24-month construction period and ten-year operating hold are structural. Editing those two input cells does not extend the schedules. Change the timeline only with an explicit model rebuild.

Source: Inputs and Checks tabs of GII 10MW Underwriting. Physical, commercial, financing and exit assumptions are not independently validated project terms.

GII UNDERWRITING 101 | WORKED EXPLANATION

3 | Understand what changes when an input changes

A model input is not automatically an independent economic variable.

Read the Inputs tab in groups. Physical inputs establish the size and provisional layout. Commercial inputs establish what can be billed. Operating inputs determine costs and energy use. Financing and exit inputs determine the timing and allocation of cash. These groups interact, but the model does not automate every physical or commercial relationship.

For example, a lower electricity rate reduces power cost and its matching reimbursement. It does not create landlord profit when electricity is recovered at cost. A lower capacity rent reduces NOI while the year-one non-power expense assumptions remain fixed. These two price changes therefore work through different paths.

Exhibit 14 | Input to output: the first questions to ask

Input group	Primary output	Boundary to retain
Capacity and billability	Rental revenue	Reserved capacity is not paid GPU use.
Loading, PUE and tariff	Electricity cost	Energy use is not design acceptance.
Hard and soft costs	Total Development Cost	No contractor quotation is implied.
Debt and interest	Equity funding and distributions	Loan terms remain assumptions.
Exit cap and lease term	Terminal value and proceeds	No appraisal or buyer bid is implied.

Two fixed horizons deserve special attention

The model has a 24-month construction period and a ten-year operating hold. Changing those labels alone does not extend the supporting monthly schedules. A different construction or hold period needs a controlled model revision and a cash-flow review, not an assumption that the existing formulas accommodate every horizon.

The case also assumes full billability from acceptance. An actual staged lease should identify accepted capacity, commencement, free rent and collection by phase. This paper does not model a ramp; it explains why the results are conditional and where actual transaction evidence would require more detail.

READER RULE | Change an assumption after identifying its financial path, contractual meaning and dependencies. A valid formula can still describe the wrong transaction.

Source: Inputs, Landlord, Power, Construction, Monthly CF and Checks tabs of GII 10MW Underwriting. The model horizons are fixed.

PART I | ECONOMIC ARCHITECTURE

4 | Follow the assets, contracts and cash

The same infrastructure can support different businesses—and different investment claims.

The landlord case and the cloud case must be separated before comparing margins or returns. In the principal model, the property owner supplies a commissioned facility. The neocloud provides the computers, software and customer relationships. The end customer buys computing services. Those relationships connect the businesses but do not consolidate their revenue, collateral or obligations.

Exhibit 15 | Follow external payments through the hypothetical structure

END CUSTOMER **Pays for computing service**	→	**NEOCLOUD TENANT** **Pays capacity rent and power**	→	**PROPERTY OWNER** **Funds land and permanent systems**

Arrows indicate the modeled direction of customer payment and rent, not legal guarantees. Equipment lenders, the utility and property lenders have separate contracts.

Exhibit 16 | Who owns the asset and what produces the cash?

Participant / role	Asset or obligation in this case	Economic measure
Property developer / landlord	Land, shell, permanent electrical and cooling systems; construction and facility delivery	Rent, property NOI and real estate cash flow
Neocloud operator	GPU servers, computing network, software, support and customer contracts	Compute revenue, operating costs and equipment renewal
End customer / hyperscaler user	Contracted computing service or, in another structure, its own installed equipment	Cost and reliability of service received
Equipment / platform supplier	Specified hardware and platform offering; any financing role must be separately documented	Supplier revenue, not the buyer's investment return
Utility and lenders	Service and funding commitments with their own conditions	Tariff payments, interest and principal

Where NVIDIA and hyperscalers belong

The term "hyperscaler" describes a company category, not a single lease structure. The company may build, lease facilities or buy computing services. NVIDIA belongs in the equipment and platform discussion unless a particular disclosed transaction establishes another role. An investment, supply agreement or customer relationship should not be drawn as a rent-guarantee arrow without the actual support document. [3]

For the same reason, facility rent cannot be added to the tenant's computing revenue to estimate a non-overlapping industry total. One participant's expense can be another's revenue. GII's restaurant research applies a related discipline to system sales, royalties and supply-chain revenue; the transferable method is to identify the economic layer before comparing headline figures. [21, 24]

GII CONTROL POINT | Establish the owner, the obligor and the payment claim. A recognizable ecosystem participant is not a substitute for the contract that connects it to the landlord.

Source: Development, Integrated, Landlord and Lease Screen tabs of GII 10MW Underwriting. Ownership and payment diagrams are illustrative, not executed structures.

GII UNDERWRITING 101 | WORKED EXPLANATION

4 | Separate the facility from the tenant's computers

The equipment boundary is both a capital-cost question and a lease question.

The property budget includes permanent electrical distribution, backup generation, cooling, controls and commissioning within the landlord's stated scope. It excludes the tenant's GPU servers, server racks, computing network and software. The optional Integrated tab shows why the distinction matters: owning the computing business adds capital and a different revenue source.

A phrase such as "fully fitted data center" does not allocate those obligations. The transaction needs a responsibility schedule identifying who selects, buys, installs, tests, maintains and replaces each asset. That schedule is particularly important where landlord cooling or electrical systems meet the tenant's installed hardware.

Exhibit 17 | A responsibility schedule to complete before investment

Asset / activity	Teaching-case treatment	Transaction question
Land and shell	Landlord budget	What title, approvals and physical scope are delivered?
Electrical and backup systems	Landlord hard costs	What capacity and resilience are accepted?
Facility cooling loop	Landlord hard costs	Where does the equipment interface begin?
GPU servers and racks	Tenant / cloud investment	Who owns, finances and may remove them?
Installation and testing	Depends on the actual scope	Who verifies handover and fixes defects?
Future hardware changes	No universal landlord obligation	Who funds adaptation or reinstatement?

Ownership does not establish creditor access

Equipment inside the building is not automatically collateral for a property lender or security for the landlord. It may belong to the tenant or be subject to another financier's rights. Lease, equipment-finance and access documents must be read together before recovery value is assigned to equipment at the site.

The practical lesson is familiar to a build-to-suit investor: a cost allowance, ownership clause and operating obligation are separate records. Reconcile them before concluding that the budget includes everything needed for operation or that every valuable object on the premises protects the owner's investment.

GII CONTROL POINT | Know which equipment the owner must deliver and which rights survive tenant distress, replacement or removal. Those rights cannot be inferred from the floor plan.

Source: Development, Integrated and Lease Screen tabs of GII 10MW Underwriting. Engineering and legal allocations remain illustrative.

PART II | SITE AND ENTITLEMENTS

5 | Site selection begins with a deliverability file

Investor question: what supports the proposition that this address can deliver the specified service?

The model site is intentionally hypothetical: six acres and 100,000 gross square feet are planning assumptions, not an identified parcel. The $48 million land value represents about 23% of $207.73 million of Total Development Cost—an important cost-per-MW penalty for a relatively small stand-alone build compared with a more intensive campus design. The first site-selection task is therefore to establish both economic scale and address-specific evidence for power, permissions, engineering and customer requirements.

Exhibit 18 | A site-screening file organized around the investment decision

Workstream	Evidence to obtain	Question before further capital
Site control	Title, easements, acquisition agreement and access rights	Can the required site and utility corridors be controlled?
Use and approvals	Permitting pathway, operating conditions and relevant reviews	Can the intended facility operate as proposed?
Electricity	Serving utility, service terms, capacity definition and milestones	What capacity is promised, at what cost and by which date?
Physical suitability	Geotechnical, environmental and building assessments	What redesign or remediation could alter the budget?
Cooling and equipment	Design basis, heat-removal boundary and installation plan	Can the proposed IT load be supported across operating conditions?
Connectivity and access	Fiber pathways, rights and customer connectivity requirements	Can the facility provide the service customers require?
Commercial demand	Matched customer requirement and comparable competing capacity	Why will this site win at the proposed terms?

Compare readiness, not merely acquisition price

A cheaper site can require more capital before it becomes usable. The relevant comparison is not land price alone but the present value of the entire delivery path, including schedule risk and incremental scope. Conversely, a higher-priced site with a better power story is not automatically superior; its claimed readiness must be backed by enforceable commitments and an independently credible schedule.

The market sheet supplies context, not parcel qualification. Silicon Valley's regional vacancy is not evidence of a particular utility allocation. Nor does ownership of industrial land establish that the same building can house the modeled density. A conversion opportunity must be evaluated against its structural, electrical, cooling, access and commercial requirements, not simply its existing industrial zoning label.

ENTITLEMENT BOUNDARY | This is a diligence workstream, not an opinion that a particular permit or approval is legally required or has been obtained. Local counsel, the permitting team and qualified engineers must determine the site-specific pathway.

Source: Research, Construction and Lease Screen tabs of GII 10MW Underwriting; Goldman Sachs August 2026 [20]. Actual site documents remain outstanding.

GII UNDERWRITING 101 | WORKED EXPLANATION

5 | Underwrite the approval path, not just the parcel

Site selection should produce an evidence file and a schedule of dependencies.

The model does not identify an actual parcel. Its six-acre assumption and land value are placeholders. Applying the case requires site control, a defined proposed use, and evidence of the physical, utility and approval conditions that govern development. The matrix below is a diligence framework, not a statement of permits required by a particular jurisdiction.

The budget includes design, engineering and permit allowances. Those amounts do not prove that approvals are available or that a mitigation requirement is priced. A favorable land purchase can be offset by utility work, access restrictions, environmental conditions or changes to the permitted design.

Exhibit 19 | The site evidence file

Workstream	Document or confirmation	Financial consequence to test
Property control	Title, easements and site-control agreement	Land cost, access and ability to build.
Planning / entitlement	Permitted use, process and conditions	Schedule, redesign and mitigation.
Utility service	Capacity definition, studies and milestones	Usable power date and off-site cost.
Physical conditions	Geotechnical and environmental studies	Foundation, remediation and contingency.
Operating conditions	Noise, water, traffic and use restrictions	Scope, ongoing costs or delay.
Execution	Design, procurement and commissioning plan	Cost to complete and acceptance timing.

Tie open issues to an owner and a cash consequence

A useful diligence log states what is known, which document is missing, who must provide it and which assumption could change. Not every uncertainty should become an arbitrary dollar premium. Some issues can be priced after investigation; others can prevent the intended project or justify deferring commitment.

Santa Clara makes this delivery question concrete. An October 2026 City Council report states that municipally owned Silicon Valley Power had not accepted new data center load applications since 2023; major system improvements are expected to begin coming online in 2028 and continue toward 2030 [39]. By contrast, the model's 24-month build assumes usable power at acceptance. The model's $12 million utility/substation allowance has not been verified as including the SVP load-development fee [40].

INVESTOR TAKEAWAY | A parcel is not data center ready simply because land, favorable planning language and an electrical line are visible. Readiness requires matched evidence.

Source: Research and Lease Screen tabs of GII 10MW Underwriting; Goldman Sachs August 2026 [20]; City of Santa Clara [39–40]. No actual site approvals have been established.

CONTINUED | APPROVALS, INSTALLATION AND ACCEPTANCE

5 | The delivery date is a financial assumption

A building is not economically ready simply because construction looks complete.

The model purchases land at month zero and distributes non-land expenditures evenly over 24 months. This is a funding convention, not a contractor's critical-path schedule. Crucially, the month-24 acceptance and rent assumption presumes power is effectively in hand; it does not describe a new applicant receiving a Santa Clara utility commitment within two years. In a real transaction, the service date, equipment delivery, commissioning and tenant acceptance must reconcile before capital is committed. [39–40]

Exhibit 20 | Parallel delivery workstreams converge on acceptance

Workstream	Evidence of progress	Gate to operating cash flow
Land and approvals	Site rights and required approval conditions addressed	Right to build and operate the intended scope
Utility and interconnection	Defined service works, costs, milestones and energization evidence	Usable power at the agreed boundary
Permanent facility systems	Procurement, installation and system testing	Electrical and cooling capability demonstrated
Tenant equipment	Equipment delivery, installation and integrated testing	Computing configuration compatible with the facility
Commercial acceptance	Agreed testing results and documented acceptance	Reserved capacity becomes billable
Billing and collections	Invoice issued, remedies reviewed, payment received	Accounting revenue becomes available cash

Several workstreams may overlap. The table is not a universal sequential construction schedule. It emphasizes the point of convergence: the tenant's acceptance conditions must be achievable by the parties responsible for supplying the facility and equipment. A utility letter, vendor lead-time estimate and contractor completion date may each be accurate in isolation while failing to produce one credible opening date.

Physical environment belongs in underwriting

The August Goldman Sachs report examines heat, humidity, water availability, noise and community concerns as potential constraints on data center development. It also distinguishes cooling inside the computing space from the systems that reject heat outdoors. The GII implication is to test the site's cooling and operating assumptions, not to assume that an indoor technology choice eliminates external power or water requirements. [20]

Equipment installation is therefore part of a responsibility map. The landlord's facility systems and the tenant's servers meet at an engineered boundary. The model contains a commissioning allowance but no actual acceptance protocol. Installation completion, commissioning, rent commencement and customer billing should each have a defined milestone and a responsible party.

THE COST OF WAITING | With $116.94 million of debt fully drawn at 8%, a twelve-month delay adds $9.36 million of interest in the interest-only screen. The broader Downside screen adds fixed carry for $10.86 million total. These are different cost boundaries, not conflicting estimates.

Source: Construction, Development, Sensitivity and Downside tabs of GII 10MW Underwriting; GII Valley101 [25], Goldman Sachs August 2026 [20] and City of Santa Clara [39–40]. No actual acceptance protocol is established.

GII UNDERWRITING 101 | WORKED EXPLANATION

5 | Connect installation to contractual acceptance

Physical completion, testing and the right to bill should not be treated as the same date.

The model begins full capacity billing at acceptance. That assumption compresses several practical milestones into one operating start. An actual project should distinguish construction completion, energization, equipment installation, testing, tenant acceptance and customer readiness. Different parties may control each milestone.

A commissioning allowance provides for testing and readiness within the cost scope; it does not supply an acceptance protocol. The investor needs to know what is tested, what must be corrected, who verifies the result and whether partial acceptance permits partial billing.

Exhibit 21 | A handover chain to reconcile with the lease

Milestone	Evidence of completion	Question for the model
Construction complete	Scope and defect records	What costs remain before testing?
Electrical readiness	Service and energization evidence	Is usable capacity available at the specified boundary?
Equipment installation	Asset / responsibility schedule	Who completes and funds remaining work?
Commissioning	Test and remediation records	What must pass before acceptance?
Tenant acceptance	Acceptance under the actual lease	What fraction of rent may be billed?
Customer readiness	Deployment and billing evidence	Can the operator collect cash supporting rent?

Delay has more than one financial effect

A late handover can add interest and fixed carry while postponing revenue. Those are different economic effects. The Downside tab shows separate illustrative cash requirements; the original monthly base schedule remains unchanged. Deferred rent should not simply be added to construction invoices and labeled a cash cost.

This is not a universal acceptance sequence or legal remedy. It identifies dependencies that must be consistent. A delivery promise should allocate responsibility when one party is ready and another is not. Otherwise a single date in the pro forma conceals an unresolved contractual issue.

> **GII CONTROL POINT |** The valuable milestone is not merely “built.” It is delivery that satisfies the specification and supports an enforceable right to payment.

Source: Construction, Development, Lease Screen and Downside tabs of GII 10MW Underwriting. The sequence is a diligence framework, not an executed acceptance procedure.

PART II | THE FULL DEVELOPMENT PRO FORMA

6 | The development budget defines the asset

The landlord buys land and a commissioned facility—not the tenant's GPU business.

The cost schedule below reproduces the model landlord scope. Every amount is a teaching allowance or formula output. The hard-cost subtotal excludes land; soft costs and contingency are then added to establish the pre-financing budget. Interest and the loan fee are equity-funded. The debt principal is a funding source, not another development expense.

Exhibit 22 | Complete developer uses — US$ millions

Developer cost / subtotal	Total $m	$m / IT MW
Land at opportunity cost	48.00	4.80
Sitework / civil / utility yards	5.00	0.50
Building shell	23.00	2.30
Utility connection / substation	12.00	1.20
Electrical / UPS / distribution	35.00	3.50
Backup generation / fuel	12.00	1.20
Cooling / facility liquid loop	23.00	2.30
Fire / controls / security / fiber paths	6.00	0.60
Testing and commissioning	3.00	0.30
Hard-cost subtotal	**119.00**	**11.90**
Design / engineering / permits	8.00	0.80
Legal / development management	3.00	0.30
Lease procurement / closing	2.00	0.20
Construction insurance / tax carry	3.00	0.30
Hard-cost contingency	11.90	1.19
Total eligible cost BEFORE financing	**194.90**	**19.49**
Loan fee, equity funded	1.17	0.12
Construction interest, equity funded	11.66	1.17
TOTAL DEVELOPMENT COST	**207.73**	**20.77**

Subtotals are not additional uses. The $119.00m hard-cost subtotal comprises sitework, shell and facility infrastructure/testing; land is separate. Amounts may differ by $0.01m due to display rounding.

What is not in the landlord's budget

The schedule excludes tenant GPU servers and racks, the cloud computing network and software, customer acquisition, cloud working capital and income taxes. Utility works beyond the allowance, extraordinary remediation, tenant default, major re-leasing works and future retrofit beyond the recurring reserve are also outside the base scope. These exclusions must remain visible before the cost is compared with any contractor or market quotation.

GII CONTROL POINT | Cost per MW is a comparison only after matching the delivered IT-capacity definition, asset scope, location, delivery date and financing treatment. A lower quoted cost can simply mean that someone else must fund part of the project.

Source: Development and Inputs tabs of GII 10MW Underwriting. Costs are teaching allowances; actual title, engineering, utility scope and matched bids remain outstanding.

GII UNDERWRITING 101 | WORKED EXPLANATION

6 | Put Land, Hard Costs and Soft Costs on one basis

Total Development Cost is the full modeled cost of delivering the landlord's property.

Total Development Cost (TDC) = Land Cost + Hard Costs + Soft Costs. Here Hard Costs include the separately disclosed construction contingency. Soft Costs include professional and development expenses, construction-period carry, loan origination fees and construction-period interest. This is the GII classification convention; it does not change the budget.

The bridge adds no new costs. It makes their relationship visible and prevents the $119.00 million hard-cost subtotal or the $194.90 million pre-financing amount from being mistaken for the complete investment cost.

Exhibit 23 | The three-category cost bridge — US$ millions

Category	Components	Model Result
Land Cost	Existing opportunity value	48.00
Hard Costs before contingency	Facility works and commissioning	119.00
Hard-cost contingency	10% of hard costs	11.90
HARD COSTS INCLUDING CONTINGENCY	119.00 + 11.90	130.90
Other Soft Costs	Design, legal, leasing and carry	16.00
Development financing	Loan fee + construction interest	12.83
SOFT COSTS INCLUDING FINANCING	16.00 + 12.83	28.83
TOTAL DEVELOPMENT COST	**48.00 + 130.90 + 28.83**	**207.73**

Subtotals explain the budget; they do not increase it

Do not add the hard-cost subtotal and its underlying components again. Soft Costs including financing likewise already contain the other soft costs and financing subtotal. The workbook's Checks tab reconciles the three-category bridge to the all-in development cost.

Tenant GPUs, racks and cloud-business investment remain excluded. The case also retains its exclusions for extraordinary utility work, remediation, default, re-leasing and major future retrofits beyond the stated reserve. Such gaps require diligence and, where justified, a documented new scenario—not a quiet redefinition of TDC.

> **CORE DEFINITION |** Total Development Cost is $207.73 million in this case. The headline Development Yield uses that same complete denominator throughout.

Source: Development tab of GII 10MW Underwriting. This is a regrouping of the budget, not new cost. Four decimal places in $m are shown for reconciliation; most other tables use two.

GII UNDERWRITING 101 | WORKED EXPLANATION

6 | Understand what sits inside Soft Costs

Development financing belongs in the cost boundary; borrowed principal is not another expense.

Soft Costs are familiar but often under-explained. The case includes $8 million for design, engineering and permits; $3 million for legal and development management; $2 million for lease procurement and closing; and $3 million for construction insurance and tax carry. Together these are $16 million before financing.

Financing adds a $1.17 million origination fee and $11.66 million of construction interest. The fee is 1% of the $116.94 million principal. Interest follows the monthly draw schedule and is equity-funded. The $12.83 million financing subtotal brings Soft Costs including financing to $28.83 million.

Exhibit 24 | Cost, funding and operating expense are different categories

Item	Where it belongs	Why
Construction interest	Soft Costs / TDC	Cost during modeled delivery.
Origination fee	Soft Costs / TDC	Cost of arranging development funds.
Borrowed principal	Sources of funds	Pays costs already counted.
Operating interest	Below property NOI	Financing payment after opening.
Annual capital reserve	Below NOI in this model	Recurring capital, not current operating expense.
Tenant GPU purchase	Tenant or integrated-cloud capital	Outside the independent landlord scope.

The loan’s cost basis is not the whole project

The 60% advance applies to $194.90 million of eligible pre-financing cost, producing $116.94 million of debt. The full project also needs development finance costs. Debt therefore represents 56.29% of Total Development Cost—not 60%. Either percentage can be useful when its denominator is identified.

An actual loan could treat interest reserves, eligible costs or land differently. No such terms are established here. A transaction-specific revision should change the funding and related cost assumptions together, rather than increasing proceeds while leaving all financing costs unchanged.

> **IN PLAIN ENGLISH |** Borrowing funds a cost; it is not automatically another cost. Fees and interest are expenses of development financing. Principal is the source used to pay for the project.

Source: Development, Construction and Inputs tabs of GII 10MW Underwriting. Funding and cost classification are explicitly model-specific.

CONTINUED | COST INTERPRETATION

6 | Separate land value, cash funding and equipment scope

Economic cost is not always the same as the new cash required from the sponsor.

In the base case, land is purchased for $48.00 million at month zero. For a sponsor that already owns the land, the economic investment should still recognize the asset committed to the project. But the cash draw, sponsor basis and lender credit for contributed land would differ. The model does not include that alternative. Treating owned land as free overstates economic return; treating it as a new cash purchase can misstate funding needs.

Exhibit 25 | Five perspectives on property cost and funding

Measure	Model Result	Appropriate use
Building shell / gross SF	$230.00	Shell-only comparison; excludes systems, land and finance
All-in developer uses / gross SF	$2,077.29	Whole project divided by the assumed building area
Pre-financing uses / IT MW	$19.49m	Land and facility investment before financing
All-in uses / IT MW	$20.77m	Adds modeled construction financing
Required developer equity	$90.79m	Cash/economic equity under the modeled purchase and debt structure

The $230 shell measure and $2,077.29 all-in measure are not competing construction quotations. They answer different questions. Similarly, a facility quote that stops at a powered shell cannot be compared directly with this commissioned-facility budget. The owner must identify the additional systems, installation and tests required to reach the lease specification.

Exhibit 26 | Procurement and installation responsibility must be explicit

Asset boundary	Base-case ownership	Diligence before payment
Utility/substation and permanent distribution	Landlord / service scope to be confirmed	Utility works, handover boundary, energization and warranties
Facility cooling and permanent liquid loop	Landlord allowance	Capacity, temperatures, controls and rack-side demarcation
GPU servers, racks, computing network and storage	Hypothetical tenant	Installation responsibility, rights of access and removal
Integrated testing and commissioning	Landlord allowance; shared interfaces	Written protocols, performance criteria and acceptance authority

A procurement list is not complete when prices have been entered. It should also identify long-lead items, deposits, cancellation exposure, delivery custody, installation dependencies and the conditions for final payment. These are proposed diligence fields, not contractual protections assumed to exist in the model.

INVESTOR IMPLICATION | Preserve the distinction among asset value, cash invested and quoted delivery scope. The construction spreadsheet should expose the boundary—not hide it behind one cost-per-square-foot headline.

Source: Development, Inputs and Integrated tabs of GII 10MW Underwriting. Cost comparisons require matching scope, capacity, financing and delivery.

GII UNDERWRITING 101 | WORKED EXPLANATION

6 | Define the return on development cost

Development Yield = annual stabilized property NOI / Total Development Cost.

Development Yield asks how much annual property income the completed asset is modeled to earn relative to the capital required to deliver it. This paper uses annual stabilized property NOI and TDC including land, construction contingency and development-period financing. Walker & Dunlop also describes yield-on-cost using stabilized NOI and total project costs [29].

Year 1 is the assumed stabilized operating year because the case assumes full 10 MW billability from acceptance. This is a convention, not observed operating evidence. A phased lease, free-rent period or incomplete operating ramp would require a different explicitly identified stabilized period.

Exhibit 27 | The headline calculation

Measure	Model Result	Meaning
Annual stabilized NOI	$19.75m	Year 1, assumed stabilized.
Total Development Cost	$207.73m	Land + Hard + Soft, including finance.
DEVELOPMENT YIELD	**9.51%**	**19.75 / 207.73 = 9.51%.**
NOI yield before financing	10.13%	Uses $194.90m; a secondary comparison.
After-reserve cash / TDC	9.03%	Uses $18.75m, not property NOI.

What the 9.51% does and does not mean

For every $100 of TDC, the property is modeled to earn about $9.51 of annual NOI. That is not the equity distribution: operating interest and the separate capital reserve still need consideration. Nor is it the IRR, because this ratio omits construction timing, later cash flows and the sale.

It is also not an observed market capitalization rate, whose denominator is property value rather than development cost. Because this TDC convention includes development finance, the yield is not entirely independent of financing assumptions. Its numerator is before operating debt service, but its denominator includes development financing costs.

INVESTOR TAKEAWAY | Use one headline yield, one stated NOI period and one complete cost basis. Dropping financing costs produces a different ratio, not a better result for the same investment.

Source: Development and Landlord tabs of GII 10MW Underwriting; Walker & Dunlop, Development Yield-on-Cost [29]. Detailed cost classification follows the stated GII convention.

PART II | LEASE ECONOMICS

7 | Define what the tenant is paying for

The capacity charge is meaningful only with its expense and delivery boundaries.

The principal model assumes a fifteen-year lease of all 10 MW, fully billable upon acceptance, with no phased rent or free-rent period. Its $225/kW/month charge includes non-power facility operating costs. Electricity is recovered separately at cost. Those assumptions are deliberately explicit because the same headline rental rate can describe very different landlord obligations.

Exhibit 28 | The assumed lease and the document needed to test it

Lease item	Teaching assumption	Evidence required
Capacity	10 MW critical IT	Definition, redundancy boundary and acceptance specification
Rent	$225 / kW / month	Executed schedule and scope-matched market evidence
Commencement	Full billability at acceptance	Testing, phase-in, free rent and remedies
Escalation	2.50% annual capacity rent	Signed escalation and review clauses
Non-power facility costs	Included in gross capacity charge	Operating responsibility and maintenance schedules
Electricity	Recovered at cost; no markup	Metering, tariff, deposits, timing and nonpayment provisions
Lease term / hold	15 years / 10 operating years	Commencement, expiry, options and assignment rights
Service remedies	No credits modeled	Availability obligations, exclusions and financial consequences
Tenant support	No actual tenant or guarantee	Exact legal entity, financials and executed support

A simple invoice makes the expense boundary visible

At the modeled starting terms, monthly capacity rent is $2.25 million. Average monthly electricity is $1.34 million. The illustrative average cash invoice is therefore $3.59 million, but the electricity portion offsets the landlord's corresponding utility outlay. Actual monthly bills would vary, and recoverability depends on the contract and collection process. The model uses an annual average, not a tariff simulation.

Do not add a second non-power operating-cost reimbursement to the same gross capacity charge. Conversely, do not subtract the tenant's electricity burden from the landlord's rent while omitting the matching reimbursement. Either mistake changes NOI without changing the building or customer demand.

> **THE LEASE QUESTION** | What exactly must be delivered for the next invoice to be due, what expenses are included, and what events can legally reduce or interrupt the payment?

Source: Lease Screen, Inputs and Landlord tabs of GII 10MW Underwriting. Gross capacity rent and electricity recovery follow the teaching-case convention.

GII UNDERWRITING 101 | WORKED EXPLANATION

7 | Translate the lease into an invoice

A single invoice can contain rent and a reimbursement that creates no modeled margin.

The case bills reserved IT capacity. At 10,000 kW and $225 per kW per month, rent is $2.25 million monthly. It separately recovers electricity at cost. Annual power cost divided by twelve gives an average monthly reimbursement of about $1.34 million. An actual invoice would follow its agreed metering and billing method, not necessarily this average.

Together those items create an illustrative average facility bill of approximately $3.59 million per month. That is not landlord profit. The power reimbursement offsets utility cost, and the owner also pays the non-power expenses included in the capacity charge.

Exhibit 29 | Illustrative average monthly invoice — US$ millions

Item	Basis	Average month
Reserved-capacity rent	10,000 kW × $225	2.25
Electricity reimbursement	Annual model power cost / 12	1.34
TOTAL FACILITY BILL	**Rent + reimbursement**	**3.59**
Matching utility expense	Recovered at cost	(1.34)
Non-power expenses	Annual $7.25m / 12	(0.60)
PROPERTY NOI	**Before reserve and debt**	**1.65**

Do not mix a gross charge with a net-lease structure

The $225 rate includes non-power facility operating costs. Adding another reimbursement for those same expenses overstates NOI. Converting the case into a net lease requires changing the rent definition and expense recoveries together. The apparent rate alone is not a sufficient comparison.

The lease should also define when a phase becomes billable, whether recoveries are billed in advance or arrears, how metering disputes are handled and which failures permit remedies. None of those protections can be inferred from the invoice arithmetic. The exhibit identifies where they would affect receipts and cash.

READ THE INVOICE | Gross receipts, NOI and equity cash are different totals. At-cost reimbursement adds the same amount to revenue and expense.

Source: Inputs, Power and Landlord tabs of GII 10MW Underwriting. Monthly values are annual amounts divided by twelve, not actual bills or a seasonal tariff simulation.

CONTINUED | CREDIT SUPPORT AND CASH PRIORITY

7 | Follow the obligation—not the logo

A financing relationship is not automatically a landlord protection.

Exhibit 30 | Each payment relationship needs its own legal basis

CUSTOMER CONTRACT	→	PROPERTY LEASE	→	SUPPORT DOCUMENT
Customer owes the cloud entity		Tenant owes the landlord		A separate claim, if executed

A landlord should not infer a guarantee from a customer logo, supplier relationship, investor announcement or broadly described partnership. The useful questions are contractual: which entity owes rent, whether another entity has promised support, what triggers that support, how much is covered, when it expires, and which conditions or defenses can affect collection. These are diligence questions for counsel and credit review, not legal conclusions made by this paper.

Exhibit 31 | Separate the role from the protection being claimed

Relationship	What it can indicate	What it does not establish alone
Customer	Commercial demand or a service obligation	A direct promise to pay the property landlord
Investor	Capital participation in an entity	Funding reserved for this lease or future losses
Supplier / equipment partner	Equipment or platform access	A guarantee of facility acceptance or customer cash
Lender	A conditional source of borrowing	Unrestricted cash or collateral available to the landlord
Executed guarantor	Support defined by an actual agreement	Unlimited coverage or priority over every other creditor

Cash routing is different from cash sufficiency

At Valley101, GMI Cloud CEO Alex Yeh discussed the mismatch between long-duration infrastructure obligations and computing contracts, and illustrated possible lockbox or special-purpose payment arrangements. The conference record does not establish an executed GMI structure. The useful landlord question is whether an actual agreement gives rent an enforceable priority. Cash routing can change payment order, but it cannot create cash that customers have not paid. [25]

Property lenders and equipment lenders may also have different collateral and enforcement rights. A server fleet at the site need not belong to the landlord or be available to satisfy a property claim. Ownership, security interests, access rights and removal rights should be reconciled before the investor assumes the equipment protects the real estate value.

GII CONTROL POINT | Document the obligor, support, collateral and payment priority. The institutional name is context; the executed obligation is the underwriting evidence.

Source: Lease Screen, Tenant Credit and GMI Case tabs of GII 10MW Underwriting; GII field reports [25–26]. Financing examples are not executed documents.

PART II | POWER ECONOMICS

8 | Build the electricity bill in five steps

Use power × time to get energy, then apply the facility boundary and price.

The electricity formula is easiest to understand when each factor retains its unit. The starting quantity is the rated IT capacity, not the utility's gross service capacity. Average electrical loading converts that rating into average IT demand; annual hours convert demand into energy. PUE adds facility-support energy, and the blended price converts that energy into cost.

Exhibit 32 | The complete annual electricity calculation

Step	Calculation	Result
1 | Rated IT capacity	10 MW × 1,000 kW/MW	10,000 kW
2 | Average IT loading	10,000 kW × 85%	8,500 kW average
3 | Annual IT energy	8,500 kW × 8,760 hours	74,460,000 kWh
4 | Total facility energy	74,460,000 kWh × 1.36 PUE	101,265,600 kWh
5 | Annual electricity cost	**101,265,600 kWh × $0.159/kWh**	**$16,101,230**

IN PLAIN ENGLISH | How much power the computers use on average × how long they run × electricity needed to support them × the price of electricity. The 8,760 hours are 365 days × 24; use the actual period for a leap year or partial year.

PUE is a ratio, not a percentage of the whole bill

At PUE 1.36, facility support adds 0.36 units for each unit of IT energy. That means overhead is 36% of IT energy, but only 26.47% of total facility energy. The IT share is 1 / 1.36, or 73.53%. In the model, $11.84 million of the electricity expense is attributed to IT and $4.26 million to supporting systems. The 1.36 value is an illustrative annual assumption, not a verified GMI result. [2]

Exhibit 33 | Lower electricity use does not change the reserved-capacity rent

Average IT electrical loading	Annual electricity cost	Annual capacity rent
50%	$9.47m	$27.00m
85%	**$16.10m**	**$27.00m**
100%	$18.94m	$27.00m

The SVP CB-6 very-large-industrial class-average bundled rate, effective January 1, 2026, is $0.159/kWh; it is not a project tariff model. Actual billing can include time blocks, billed demand, fixed charges and adjustments. Do not add demand charges again when using a genuinely all-in blended rate. Likewise, the loading sensitivity holds PUE constant; actual support costs need not fall proportionately with IT use.

Source: Inputs and Power tabs of GII 10MW Underwriting; Google PUE guidance [2] and Silicon Valley Power reference [1]. Site tariff and operations remain illustrative.

GII UNDERWRITING 101 | WORKED EXPLANATION

8 | PUE explains overhead, not billable occupancy

The power bill combines capacity, average loading, time, facility overhead and price.

PUE compares total facility energy with IT-equipment energy over the same measurement boundary and period. An annual PUE of 1.36 means each 1 kWh of IT energy corresponds to 1.36 kWh of total facility energy. It does not mean 36% of total energy is overhead: that share is 0.36 / 1.36, or approximately 26.47%.

Annual IT energy is 74.46 million kWh in the case. Applying 1.36 PUE produces 101.27 million kWh of facility energy. The difference, 26.81 million kWh, is non-IT overhead. Applying the $0.159/kWh benchmark to total facility energy produces the modeled electricity bill.

Exhibit 34 | The annual electricity bill in five steps

Step	Calculation	Model Result
Rated IT capacity	10 MW × 1,000	10,000 kW
Average IT draw	10,000 kW × 85%	8,500 kW
IT energy	8,500 kW × 8,760 hours	74,460,000 kWh
Facility energy	IT energy × 1.36 PUE	101,265,600 kWh
Annual electricity cost	Facility kWh × $0.159	$16,101,230.40

Two limits of the shortcut

An annual average is not an electrical design. Annual PUE does not establish peak utility requirements, installed redundancy or acceptance capability. The blended rate is also not a complete tariff model. A property-specific bill requires the applicable rate structure and operating profile, neither of which has been established for a real site here.

At-cost recovery means better PUE reduces the tenant’s utility burden without creating an equal increase in landlord NOI. That may matter to tenant affordability and competitiveness, but through a different path. Do not reduce the utility expense while leaving reimbursement unchanged and call the difference landlord upside.

GII CONTROL POINT | Power cost, usable capacity and efficiency are connected but distinct. Their financial effect depends on the billing and recovery mechanism.

Source: Inputs, Power and Landlord tabs of GII 10MW Underwriting; Google’s PUE measurement explanation [2]. Loading, PUE and the electricity rate remain assumptions.

CONTINUED | NOI AND OPERATING COSTS

8 | From gross receipts to property cash flow

The electricity reimbursement cancels the modeled utility outlay; it is not incremental margin.

Exhibit 35 | Year-one landlord operating pro forma — US$ millions

Cash-flow item	Year 1 $m
Contractual capacity rent	27.00
Electricity reimbursement	16.10
Total cash receipts	**43.10**
Electricity expense	(16.10)
Property taxes and assessments	(2.40)
Property insurance	(0.60)
Electrical / cooling maintenance	(1.80)
Facility staffing and security	(1.20)
Water, consumables and generator testing	(0.50)
Owner administration / unrecovered costs	(0.75)
Total operating expenses	**(23.35)**
NET OPERATING INCOME	**19.75**
Facility capital reserve	(1.00)
Cash available before debt service	**18.75**
Operating debt interest	(8.19)
CASH FLOW TO EQUITY	**10.56**

Read the waterfall, not the largest receipt

The property collects $43.10 million in the base case, but $16.10 million represents electricity recovery. Capacity rent of $27.00 million less $7.25 million of non-power operating costs produces $19.75 million of NOI. A $1.00 million recurring facility reserve is then deducted before measuring cash available for interest. The resulting $18.75 million supports $8.19 million of interest and leaves $10.56 million for equity before taxes and excluded obligations.

The distinction between NOI and cash after reserve matters. The model produces 2.41× NOI coverage and 2.29× after-reserve coverage. The latter is the more conservative measure shown alongside the base-case financing. Neither is a lender’s approval or a probabilistic measure of loss; each uses the assumed fully performing lease and interest-only loan.

TENANT BURDEN STILL MATTERS | An extra $0.01/kWh adds $1.01 million of annual electricity cost at the assumed load. Full reimbursement leaves direct modeled NOI unchanged, but the higher burden can affect tenant cash capacity and collection risk.

Source: Landlord and Power tabs of GII 10MW Underwriting. NOI is before operating debt service and the separately modeled recurring capital reserve.

GII UNDERWRITING 101 | WORKED EXPLANATION

8 | Follow each deduction to the right subtotal

The landlord's $19.75 million NOI is not its $10.56 million equity cash flow.

Annual capacity rent is $27 million. Electricity reimbursement and utility expense offset each other, while $7.25 million of non-power expenses leave $19.75 million of NOI. The non-power expenses include property taxes. The model's 3% blended expense escalation is not a California property-tax forecast: real-property assessment, Proposition 13 limits and a buyer's potential reassessment require transaction-specific modeling.

The $1 million facility capital reserve is below NOI in this model. After that allowance, $18.75 million remains before debt service. Interest-only operating debt service of $8.19 million leaves $10.56 million for equity before income taxes and unmodeled investor-level obligations.

Exhibit 36 | One property, three income measures — US$ millions

Step	Amount	Why it matters
Capacity rent	27.00	Recurring property revenue.
Net electricity recovery	0.00	Recovery less matching utility cost.
Non-power property expenses	(7.25)	Current property operations.
NET OPERATING INCOME	**19.75**	**Development Yield numerator.**
Facility capital reserve	(1.00)	Capital allowance below NOI.
CASH BEFORE DEBT SERVICE	18.75	After-reserve coverage numerator.
Operating interest	(8.19)	Interest-only debt payment.
CASH FLOW TO EQUITY	**10.56**	**Before income tax and unmodeled items.**

Why two coverage ratios can both be correct

NOI divided by interest gives 2.41× coverage. After-reserve cash divided by the same interest gives 2.29×. The difference is the numerator, not a disagreement about the debt. A lender may use another covenant definition; neither ratio is an executed covenant in this paper.

Cash-on-cash similarly divides $10.56 million by the $90.79 million equity requirement, yielding 11.64%. Development Yield divides NOI by $207.73 million of TDC. They describe different claims on the property cash flow and cannot replace one another.

IN PLAIN ENGLISH | NOI measures property operations. After-reserve cash recognizes recurring capital needs. Equity cash also reflects financing.

Source: Landlord and Development tabs of GII 10MW Underwriting. Expense and reserve placements follow the model convention.

PART II | CONSTRUCTION AND FINANCING

9 | Match the funding to the cost boundary

The debt advance is calculated on eligible pre-financing uses—not total all-in development cost.

The model finances 60% of $194.90 million of eligible cost, producing $116.94 million of debt. Equity funds the remaining eligible cost plus the $1.17 million origination fee and $11.66 million of construction interest. All-in uses are $207.73 million; required equity is $90.79 million. The actual debt share of all-in uses is 56.29%, not 60%.

Exhibit 37 | Sources and uses reconcile on the same basis — US$ millions

Source / use	Amount $m	Treatment
Pre-financing developer uses	194.90	Basis for the 60% loan advance
Equity-funded financing costs	12.83	Origination fee plus construction interest
ALL-IN USES	**207.73**	**Facility scope; no tenant IT**
Debt principal	116.94	Assumed same-principal operating conversion
Developer equity	90.79	Funds the residual uses
TOTAL SOURCES	**207.73**	**Sources less uses = zero**

Why interest rises during construction

Land is purchased at month zero. Remaining eligible uses are drawn evenly over 24 months. Monthly interest is charged on opening debt plus half of the current month's draw, approximating mid-month spending. Interest is funded by equity rather than borrowed from the same loan. The simplification is explicit; a transaction model needs the actual draw dates, capitalization terms and maturity conditions.

Exhibit 38 | Selected construction observations

Period	Eligible uses $m	Interest $m	Closing debt $m
Month 0	48.00	0.00	28.80
Month 1	6.12	0.20	32.47
Month 6	6.12	0.33	50.84
Month 12	6.12	0.47	72.87
Month 18	6.12	0.62	94.91
Month 24	6.12	0.77	116.94

The operating assumption is a 7% interest-only loan at the same principal, with repayment at the modeled exit. It contains no amortization or refinancing fee at conversion. A loan quote would need separate evidence on proceeds, maturity, covenants, reserves, extension rights and lender discretion before the scenario can become an executable capital plan.

GII CONTROL POINT | Capital must be available when the cost arrives. A committed amount without achievable draw conditions may not finance the delivery schedule.

Source: Development, Construction, Inputs and Monthly CF tabs of GII 10MW Underwriting. Loan rates and advances are assumptions, not commitments.

GII UNDERWRITING 101 | WORKED EXPLANATION

9 | Distinguish economic investment from new cash

Already owning the land does not make its value disappear from the investment.

The base case purchases land and includes its $48 million opportunity value in TDC. Debt and equity fund the acquisition and development under the modeled advance basis. A sponsor that already owns the land faces a different cash question, but not a cost-free asset. Committing the land has an economic cost even when no new acquisition payment is made.

The model has not been rebuilt for contributed land. Its $90.79 million equity result belongs to the purchased-land case. Subtracting land value from that figure without reviewing lender credit, existing financing, transaction costs and draw mechanics could misstate cash needs. A separate sources-and-uses schedule is required.

Exhibit 39 | Two perspectives on land and funding

Question	Purchased-land case	Contributed-land transaction
Economic land commitment	$48.00m included in TDC	Retain supported opportunity value.
Cash used to buy land	Acquisition is modeled	Depends on existing ownership.
Lender-recognized land value	Eligible-cost case assumption	Requires loan terms and valuation.
Equity contribution	$90.79m under this case	Separate contributed value and new cash.
Return being measured	Project and equity cash flows	Distinguish economic return from cash funding.

The construction loan does not finance its own costs here

Construction interest and the origination fee are equity-funded. Principal does not increase merely because interest accrues. Loan proceeds plus equity equal TDC, and the construction schedule reaches the same principal as the Development summary.

A different financing arrangement needs a documented revision explaining eligible costs, draw timing, capitalized interest, reserves and maturity. It should not be implemented by changing one debt cell while ignoring related costs. The present model explains one coherent case; it is not a lender commitment.

GII CONTROL POINT | A project can look profitable economically and still require cash the sponsor has not arranged. Cost, contributed value and available cash are separate parts of the funding plan.

Source: Development, Construction, Inputs and Monthly CF tabs of GII 10MW Underwriting. No contributed-land or alternative-loan numerical case is added.

CONTINUED | CASH FLOW AND EXIT

9 | Separate operating return from terminal value

A long-term IRR is sensitive to cash timing and the property value assumed at sale.

Exhibit 40 | Ten operating years — US$ millions

Operating year	Capacity rent	Property NOI	Interest	Equity cash
1	27.00	19.75	(8.19)	10.56
2	27.67	20.21	(8.19)	10.99
3	28.37	20.68	(8.19)	11.43
4	29.08	21.15	(8.19)	11.88
5	29.80	21.64	(8.19)	12.33
6	30.55	22.14	(8.19)	12.80
7	31.31	22.65	(8.19)	13.27
8	32.09	23.18	(8.19)	13.76
9	32.90	23.71	(8.19)	14.26
10	33.72	24.26	(8.19)	14.77

The annual cash figures assume uninterrupted collection, 2.50% rent escalation and 3% non-power operating-cost escalation. The facility reserve starts at $1.00 million and increases by 3% annually; interest remains a separate deduction. These are not company forecasts. Land is acquired in Month 0, construction runs through Month 24, rent begins in Month 25, and the ten-year operating hold ends with the sale after Month 144.

Exhibit 41 | Terminal value and the cash returned at sale

Exit measure	Base case	Interpretation
Year-11 NOI	$24.82m	Capitalized after ten operating years
Assumed exit cap	7.00%	Scenario, not an appraisal
Gross property value	$354.56m	Year-11 NOI / the 7% exit cap
Selling costs	$7.09m	2% of gross sale value
Debt repaid	$116.94m	Interest-only principal remains outstanding
Net equity sale proceeds	**$230.52m**	**After sale costs and debt repayment**

The model produces 12.52% annualized unlevered project IRR and 16.81% levered equity IRR. Unlevered IRR uses project cash flows before debt; levered IRR uses timed equity funding, after-interest distributions and sale proceeds after debt repayment. Both annualize monthly cash flows. Across the ten operating years, the model distributes $126.06 million from operations and $230.52 million from the Year-10 sale. The sale therefore supplies approximately 64.65% of cumulative modeled equity receipts. That concentration is why terminal capitalization, remaining lease term and tenant credit can dominate the investment outcome despite positive annual cash flow.

EXIT DISCIPLINE | Five years of the assumed fifteen-year lease remain after the ten-year operating hold. The buyer must still assess credit, technical adaptability and future capital needs. The valuation capitalizes forward NOI before the facility reserve; it does not adjust for buyer-specific property-tax reassessment or extraordinary retrofit. No independent appraisal is assumed.

Source: Landlord, Monthly CF and Sensitivity tabs of GII 10MW Underwriting. Forward NOI is a valuation input, not another full operating year of cash.

GII UNDERWRITING 101 | WORKED EXPLANATION

9 | Do not ask one ratio to answer five questions

Yield, capitalization rate, cash-on-cash, coverage and IRR each describe something different.

Development Yield measures a selected year's NOI against TDC. Cash-on-cash measures a selected year's equity cash against the equity requirement. Coverage compares income or cash with required debt service. IRR evaluates the timing of cash across the investment. A capitalization rate converts a specified income stream into an assumed value.

The model includes these measures because one percentage cannot describe the whole transaction. An attractive annual yield can coexist with a large terminal-value dependency or a long negative-cash-flow period. The definitions make those different questions visible.

Exhibit 42 | A real estate return dictionary

Measure	Definition / method	Use in this case
Development Yield	Assumed stabilized annual NOI / TDC	9.51%; income on delivered cost.
Cash-on-cash	Year-one equity cash / equity funded	11.64%; after reserve and interest.
After-reserve coverage	Cash before debt / debt service	2.29×; stated cash boundary.
Levered IRR	Monthly equity cash flows including sale	16.81%; timing and exit matter.
Exit capitalization rate	Year-11 NOI / gross sale value	7.00% assumption, not appraisal.

Terminal NOI is not another full year of received cash

The case holds the property for ten operating years. Year-11 NOI establishes terminal value at the end of the hold; it is not also collected as an extra full operating year. The assumed fifteen-year lease has five years remaining at sale. The buyer's view of that term, the tenant and future retrofit exposure is not independently established.

The difference between a 9.51% Development Yield and a 7.00% exit cap is not a guaranteed profit spread. They use different dates, denominators and risks. The model translates assumptions into cash flows; delivery, collection, residual value and financing still require evidence.

INVESTOR TAKEAWAY | Read the annual income yield beside the monthly cash flow and terminal assumptions. A precise IRR does not make the exit assumption precise.

Source: Development, Landlord, Monthly CF and Sensitivity tabs of GII 10MW Underwriting. Horizons and valuation assumptions are those of the base case.

PART III | NEOCLOUD TENANT CREDIT

10 | CoreWeave versus Nebius: data are not recourse

Historical issuer information helps frame diligence; it does not identify the guarantor of a particular lease.

The model comparison carries a June 30, 2026 balance-sheet snapshot. Its purpose is to distinguish accounting scale, obligations and ownership structure before evaluating a hypothetical property tenant. It is not a current rating, a default-probability model or a recommendation to prefer either issuer's securities. The exact legal tenant and any parent support remain unresolved.

Exhibit 43 | Issuer snapshot — US$ millions except multiples

Metric	CoreWeave	Nebius
Total assets	77,070.0	27,961.5
Total liabilities	72,046.0	17,621.0
Total book equity	5,024.0	10,340.5
Assets / equity	**15.34×**	**2.70×**
Operating leases: current	584.0	114.9
Operating leases: non-current	15,735.0	1,510.4
Operating leases: total	16,319.0	1,625.3
Executed leases not commenced	35,500.0	12,054.1

Sources: CoreWeave Q2 2026 Form 10-Q [5]; Nebius Q2 2026 Form 6-K, Exhibit 99.2, Note 8 [6]. Recognized lease liabilities are discounted; executed leases not commenced are future undiscounted commitments.

What the difference can—and cannot—tell us

Assets divided by book equity produces 15.34× for CoreWeave and 2.70× for Nebius in this snapshot. That is accounting leverage, not funded-debt-to-equity and not a probability of nonpayment. Total assets are not available cash, book equity is not liquidation proceeds, and a consolidated balance sheet does not identify what support the landlord can enforce at a subsidiary. [26]

For like-for-like comparison, current and non-current operating leases must be added for each issuer. Nebius's June 30 filing separately reports $114.9 million current and $1,510.4 million non-current liabilities, or $1,625.3 million total [6]. The $12.05 billion of Nebius leases not yet commenced is an additional, undiscounted commitment—not an amount to add to recognized liabilities.

MEASUREMENT DISCIPLINE | Compare current plus non-current lease liabilities on the same reporting date. Disclose future uncommenced commitments separately; neither measure alone identifies a landlord's recourse.

Source: Tenant Credit and Research tabs of GII 10MW Underwriting; CoreWeave Q2 2026 10-Q [5]; Nebius Q2 2026 6-K Exhibit 99.2 Note 8 [6]; GII Sohn field report [26].

GII UNDERWRITING 101 | WORKED EXPLANATION

10 | Build the tenant's payment-capacity file

Consolidated issuer information starts the credit review; it does not finish the recourse analysis.

The CoreWeave–Nebius comparison uses the companies' June 30, 2026 consolidated balance sheets, including current and total operating leases. A property owner still needs another layer: the exact legal tenant, resources accessible to that entity and enforceable support from another party.

The questions below are diligence requests, not assertions of a particular weakness at either company. Missing disclosure remains missing. It should not be replaced by zero, turned into a default probability or used as an unqualified ranking of tenant quality.

Exhibit 44 | From public-company information to a lease-specific credit file

Layer	What to establish	Why the headline is insufficient
Legal obligor	Tenant entity, ownership and lease duty	The listed parent may not sign.
Liquidity	Available cash, restrictions and obligations	Consolidated cash may be inaccessible.
Support	Guarantee scope, conditions and expiry	A commercial relationship is not a guarantee.
Collateral	Ownership, security interests and priority	Owned assets can secure other creditors.
Cash conversion	Delivery, billing and collections	Commitments are not necessarily cash.
Maturities	Debt, customers and equipment needs	Rent may outlast current demand or funding.

Distinguish ability from obligation

Ability to pay depends on resources and continuing economics. Obligation to pay depends on the contract. A recognizable name can improve the starting evidence, but the landlord still needs both. A less familiar private tenant likewise requires evidence, not an automatic negative conclusion.

The approach is conditional: use consolidated disclosures to identify questions, then resolve them at the relevant entity and document level. The model does not price a credit spread or estimate default and recovery probabilities. Those would require a separate evidence set and methodology.

> **GII CONTROL POINT |** Follow the legal payment claim and the cash available to meet it. Neither a logo nor a leverage ratio supplies the complete answer.

Source: Tenant Credit, Lease Screen and Research tabs of GII 10MW Underwriting; issuer disclosures [5–8] and GII Sohn field research [26].

CONTINUED | COLLATERAL AND CONTRACT CLOCKS

10 | Ownership is only the start of credit analysis

An owned asset can be pledged; a customer commitment can have delivery conditions.

The Sohn presentation compares leasing and owned-build strategies. Its photographed pipeline estimates—92% leased for CoreWeave and 70% owned-build for Nebius—are attributed slide observations, not an independently reconstructed property census. The useful credit question is who controls the asset, how it is financed and which creditor can reach it. [26]

Exhibit 45 | Four clocks that can move differently

Clock	Timing used or discussed	What must be reconciled
Property lease	15 years in the GII case; 12–15 years in Yeh's attributed discussion	Rent start, expiry, options and remaining lease at sale
Customer compute contract	4–6 years in the attributed Valley101 discussion	Delivery, renewal, repricing and termination conditions
Equipment renewal	5-year allowance in the optional GII model	Economic competitiveness, replacement cost and financing
Financing	Ten-year operating debt in the base case; Year-5 maturity in a separate stress	Principal, coverage, maturity and available replacement funding

These timings are not one actual GMI, CoreWeave or Nebius capital structure. They illustrate the reconciliation an investor needs. Contract duration is not accounting depreciation, and depreciation is not economic equipment life. A long facility lease can improve contractual visibility while extending the period over which the operator must find productive customers and finance replacement equipment.

Separate the balance sheet from the payment claim

The model record identifies a July 2026 Nebius secured financing as a subsequent-event illustration of asset encumbrance. It is not automatically added to the June balance sheet. The record also identifies a conditional Meta purchase arrangement for qualifying unsold capacity; that is not a blanket guarantee of every property lease. The case requires the actual agreement, entity chart, security documents and cash-flow priority before assigning recovery value. [7, 8]

Exhibit 46 | The landlord's credit file

Document / evidence	Question answered
Lease and entity chart	Who legally owes the rent?
Guarantee and conditions	What additional support is enforceable, and for how long?
Customer billing and collection bridge	What cash is available after delivery and operating obligations?
Asset register and financing documents	Which assets are owned, pledged or otherwise unavailable?
Maturity and liquidity schedule	Who funds lease, capex and debt obligations if conditions weaken?

GII CONTROL POINT | Owned versus leased describes a capital strategy. Recourse, liquidity and cash priority determine what that strategy means for a particular creditor.

Source: Tenant Credit, GMI Case, Integrated and Downside tabs of GII 10MW Underwriting; GII field reports [25–26] and Nebius filings [7–8]. The clocks do not describe one actual capital structure.

CHAPTER 10 | DATED CREDIT-MARKET UPDATE

10 | Read the credit warning without overreading it

Research window: October 15–22, 2026. Credit-market observations are dated and separate from the June issuer financial statements.

CoreWeave's bond and credit-default-swap (CDS) selloff sharpens the landlord's question: can financing and customer collections sustain obligations while new capacity is delivered? It does not, by itself, establish a missed rent payment, a contractual default or failure of the 10 MW teaching case.

Exhibit 46A | What changed—and whose observation it is

Date / source	Observed or reported development	Underwriting interpretation
Oct. 15 | Bloomberg [30]	Five-year CDS reached an intraday 1,194.5 bp, using ICE data.	Cost of credit protection; not a bond coupon or realized default rate.
Oct. 15 | Reuters [31]	Five-year CDS exceeded 1,100 bp using S&P data; 2031 bond yield briefly reached about 16%.	Provider and time differences matter. Do not average the CDS quotations.
Oct. 16 | Reuters [32]	Credit investors described greater scrutiny of funding needs and cost-to-revenue timing.	Test future capital access, not only the amount of existing backlog.
Oct. 19 | Reuters [33]	2031 bond yield eased to 15.13%; Goldman upgraded the equity to Buy.	A partial rebound and a constructive equity view do not remove credit risk.
Oct. 20 | Reuters [34]	J.P. Morgan described bank exposure as limited and well secured; estimates used simplified assumptions.	Protection for specified lenders is not automatic protection for a landlord.
Oct. 21 | Benzinga [42]	2032 unsecured notes around 80.5 cents on the dollar, implying about 14.7% YTM.	Secondary-market yield, not the coupon or the property lender's contractual rate.
Oct. 22 | Reuters Breakingviews [43]	Commentators continued to debate whether unsecured-credit weakness signals stress across AI infrastructure.	Commentary, not a new default event or a verified missed rent payment.

Three measures, three different meanings

A bond's coupon is its contractual interest rate. Its secondary-market yield is the return implied by today's price if promised payments occur; it does not reprice every existing fixed-rate borrowing. A CDS spread prices protection on a specified reference obligation. A quoted spread can be represented through a standardized coupon plus an upfront payment, rather than that spread being the periodic cash coupon. [38]

Why a "60% default" headline needs assumptions

Market-implied probabilities are risk-neutral pricing measures, not independently estimated real-world default frequencies. Recovery assumptions and risk compensation matter. With a constant 1,194.5 bp spread and 40% recovery, a simplified five-year calculation is $1 - \exp[-((1{,}194.5 \text{ bp} \div 10{,}000) \div 0.60) \times 5] \approx 63.04\%$. This illustration is not the data provider's calibrated model or a forecast that a tenant will stop paying rent. [30, 37]

> **GII CONTROL POINT** | Treat credit pricing as an early-warning input. Verify the instrument, tenor, timestamp, collateral and cash-flow obligations before translating it into a property decision.

Source: Bloomberg and Reuters [30–34], October 21 bond observation [42], October 22 Reuters Breakingviews discussion [43]; BIS/ISDA [37–38]. CDS quotes and bond yields reflect specific instruments and observation dates, not property loan pricing.

CHAPTER 10 | FROM MARKET SIGNAL TO LEASE DILIGENCE

10 | Separate the unsecured bond from the secured project

Earlier issuer financing disclosures explain the structure; they are not new October financing quotations.

The adverse interpretation is tighter unsecured financing, renewal exposure and less tolerance for time-to-revenue delays. The counterargument is that separately collateralized facilities and committed customer contracts can still finance selected projects. S&P's October 19 discussion stressed interconnected financing arrangements but did not identify an immediate need to revise hyperscaler ratings [41]. Both credit stress and project-specific secured access can coexist; the landlord must examine its own obligor and priority.

Exhibit 46B | Two financing structures, different contractual risk

Issuer disclosure	Reported terms at origination	What a property investor should ask
DDTL 4.0 | Mar. 31 [35]	Up to $8.5bn; A3 / A(low) facility ratings. Floating tranche at SOFR + 2.25%; fixed tranche around 5.9%. Secured by subsidiary assets and an associated customer contract.	Which entity and assets provide support? These facility-specific ratings and prices are not a rating or price for every CoreWeave obligation.
DDTL 5.5 | Aug. 10 [36]	$2.6bn at SOFR + 5.50%; approximately five-year debt versus average three-year customer contracts. Ba2 / BB+ facility ratings.	How are renewal, re-leasing and equipment value underwritten after the first customer contracts expire?
Property lease | GII case	Fifteen-year assumed lease; hypothetical tenant; full billability at acceptance; no guarantee assumed.	Where does rent rank in the cash waterfall, and what enforceable support survives a funding or customer disruption?

What changes in the landlord's work—not in the base model

Request available rather than merely announced liquidity; remaining capital commitments; actual draw conditions; customer delivery, renewal and collection schedules; and the exact lease obligor and guarantee. Review whether collateral is already pledged and whether a delay can defer customer cash while property expenses continue. A backlog is future revenue subject to performance—not cash available today for all creditors.

Exhibit 46C | A transparent financing sensitivity—not a CoreWeave quote

GII property metric	7% base rate	9% illustrative rate
Operating debt principal	$116.94m	$116.94m
Annual interest-only debt service	$8.19m	$10.52m
After-reserve coverage	2.29×	1.78×
Year-one cash to equity	$10.56m	$8.23m

The +200 bp illustration adds $2.34m of annual interest without changing NOI or Development Yield. It is report-only arithmetic on the same debt principal and $18.75m of cash after reserve; it does not update the workbook's base rate or IRR. Do not substitute a 15% unsecured corporate bond yield for the property's assumed debt cost.

> **WHAT WOULD CHANGE THE VIEW** | Verified available funding, executed support and collections can strengthen confidence. Restricted liquidity, failed draw conditions, delivery slippage or weaker renewals warrant re-underwriting—even before a missed rent payment.

Source: CoreWeave issuer releases [35–36], Reuters [32–34, 41], October 21 market reporting [42]. Financing illustration: Development and Landlord tabs of GII 10MW Underwriting. Underlying 10 MW assumptions remain unchanged.

PART III | INDEPENDENT PRIVATE-NEOCLOUD CASE

11 | GMI Cloud: financing is not a rent guarantee

Public disclosure is useful precisely when its unanswered questions remain visible.

GMI Cloud is used because the model's public-source record and the Valley101 discussion provide a concrete example of a neocloud's capital and operating challenges. The case does not establish ownership of a particular parcel, and none of its financing amounts enters the hypothetical property's Development, Landlord or Monthly CF calculations.

Exhibit 47 | Financing components recorded in the model — US$ millions

Component	Amount $m	Share of announced total	Evidence boundary
Series B equity	223.00	33.38%	Company-issued announcement
CTBC-led credit facility	445.00	66.62%	Available and drawn amounts not established here
Total announced package	**668.00**	**100.00%**	**Sum of two different capital forms**

GMI financing announcement [10]: company-issued release dated October 1, 2026, as recorded in the model. Shares are arithmetic composition, not debt outstanding, cash on hand or cost of capital.

The $445 million facility is not automatically $445 million of unrestricted cash, and the total $668 million is not an equity raise. Draw conditions, collateral, rates, maturity, covenants and entity-level cash restrictions are not disclosed in the announcement. A landlord would need those terms, along with the actual tenant's obligations and support, to evaluate rent payment capacity.

Exhibit 48 | From disclosed capital to the landlord's missing evidence

Disclosure / observation	Required next evidence	Why it matters
Equity and credit announced	Available cash, drawn debt and remaining commitments	Funding could already be allocated or restricted
Expansion or contracted indicators	Deployment, invoicing, collections and cash bridge	Run rates are not collected annual revenue
Long lease / shorter compute discussion	Actual lease and customer maturity schedule	Renewals can be needed before rent obligations end
Utilization claims	Paid hours, incremental contribution and resale rights	Busy computers are not necessarily profitable use
Lockbox or SPV illustration	Executed payment-priority documents, if any	Routing changes payment order, not cash sufficiency

Alex Yeh's discussion emphasizes delivery, regional deployment and better monetization of computing capacity. The conference transcript was not independently audio-verified and contains no audited unit economics or executed contracts. The analysis therefore treats the discussion as a practitioner's account, not proof of the company's operating margins or a standard contract that all neoclouds use. [25]

RESEARCH INDEPENDENCE | This paper is not sponsored, commissioned, funded or endorsed by GMI Cloud. The 10 MW property, tenant, costs, rent and returns are GII teaching scenarios—not GMI's property, lease or financial forecast.

Source: GMI Case and Research tabs of GII 10MW Underwriting; GMI disclosures [9–10] and GII Valley101 [25]. No actual GMI property budget or lease is modeled.

GII UNDERWRITING 101 | WORKED EXPLANATION

11 | Trace announced capital toward collected cash

GMI Cloud illustrates disclosure interpretation, not an actual tenant underwriting package.

The recorded package combines $223 million of equity and a $445 million credit facility. They total $668 million, but their meanings differ. Equity raised, credit committed, debt drawn, restricted cash and remaining deployment cash are different amounts. The announcement does not supply a complete bridge between them.

Operating indicators require the same discipline. A planned deployment is not a commissioned facility. A contracted recurring-revenue indicator is not a year of recognized revenue. Billing is not collections, and not every collected dollar is available for rent after other obligations. The sequence helps because the missing stages remain visible.

Exhibit 49 | The capital-and-cash bridge a landlord would request

Stage	Evidence requested	Unanswered question
Capital committed	Equity close and credit agreement	What conditions or restrictions apply?
Funds received or drawn	Cash and debt schedules	What can the relevant entity use?
Capacity delivered	Deployment and acceptance records	Which facilities can operate and bill?
Services billed	Contracts and billing schedules	What conditions affect recognition and invoices?
Cash collected	Receivables and collection records	How reliably does billing become cash?
Cash available for rent	Operating and financing waterfall	What remains after competing obligations?

A lockbox changes routing, not the origin of cash

Alex Yeh’s Valley101 discussion remains attributed practitioner context. Its illustrative payment-routing arrangement is not an executed GMI agreement. A lockbox can define where collections go; it cannot create collections customers have not paid. Actual legal terms and operating cash generation both require review.

The hypothetical property’s cost, rent and returns do not depend on putting GMI’s financing into the model. Keeping the two separate allows the company discussion to teach disclosure interpretation without presenting GMI as a sponsor, actual tenant or guarantor.

RESEARCH INDEPENDENCE | No GMI endorsement, executed property lease, actual property budget or verified company forecast is implied. The 10 MW property remains a GII teaching case.

Source: GMI Case and Research tabs of GII 10MW Underwriting; the company-issued announcement [10] and GII Valley101 field research [25].

PART III | PROPERTY VERSUS OPERATING BUSINESS

12 | Owning the cloud adds a second investment

Avoiding external rent does not eliminate facility capital, equipment renewal or customer risk.

The optional Integrated module compares a cloud tenant leasing the facility with a consolidated owner of both property and computing assets. It assumes 4,000 GPUs, $50,000 of allocated installed-server cost per GPU, $25 million of additional IT equipment and $10 million of working capital. These are independent assumptions, not GMI inventory or NVIDIA quotations. Engineering must still test whether the proposed fleet fits the facility.

Exhibit 50 | One-year optional computing case — US$ millions

Cash-flow item	Cloud tenant	Integrated owner
External compute revenue	105.12	105.12
Facility capacity rent	(27.00)	0.00
Electricity	(16.10)	(16.10)
Property / facility operating costs	0.00	(7.25)
Cloud staff / software / overhead	(10.00)	(10.00)
IT support and maintenance	(3.00)	(3.00)
CASH EBITDA BEFORE FINANCING	**49.02**	**68.77**
Annualized IT renewal allowance	(45.00)	(45.00)
After IT renewal allowance	**4.02**	**23.77**
Property debt service	0.00	(8.19)
Facility capital reserve	0.00	(1.00)
Cash after listed allowances / RE debt	**4.02**	**14.58**

The assumed 75% paid-hour fraction and $4 per paid GPU-hour produce $105.12 million of annual external compute revenue. Internal rent is eliminated in the consolidated case, but the owner now bears the property costs. The modeled $68.77 million of integrated cash EBITDA equals the tenant's $49.02 million plus the landlord's $19.75 million NOI. That reconciliation avoids treating intercompany rent as new external revenue.

Computing equipment capital is $225.00 million. The five-year, zero-residual economic renewal allowance is $45.00 million annually, though it is not a claim that replacements occur evenly each year. The illustrative tenant earns $4.00 per paid GPU-hour against a $3.85 break-even including that renewal allowance—a margin of only about $0.15 per GPU-hour, or roughly 4%, before unmodeled financing and taxes. An integrated break-even including the listed property interest and reserve is about $3.45 per paid GPU-hour, still before GPU financing and tax. The integrated capital requirement totals $442.73 million. Thin tenant headroom is a landlord-credit question, not proof of an actual neocloud's economics.

NOT DISTRIBUTABLE PROFIT | GPU financing, taxes and additional obligations are NOT MODELED. The $14.58m integrated cash balance after listed allowances and property debt is not shareholder free cash flow or a complete investment return. Do not value cloud EBITDA using the property exit cap rate.

Source: Integrated and Inputs tabs of GII 10MW Underwriting. A one-year illustration; GPU financing, taxes and other obligations remain unmodeled.

PART IV | SENSITIVITY

13 | Test the variables that change the return

A sensitivity isolates an assumption. It is not a probability-weighted forecast.

The model sensitivity page separates rental rate, development cost, delayed delivery and exit valuation. These are independent tests. They do not combine automatically and they do not recalculate a stressed IRR. The first table holds year-one non-power costs fixed while changing capacity rent; the second changes both rent and the denominator used for cost yield.

Exhibit 51 | Rental-rate sensitivity — US$ millions except rates and ratios

$/kW/month	Capacity rent	Property NOI	Development Yield	After-reserve coverage
$175	21.00	13.75	6.62%	1.56×
$200	24.00	16.75	8.06%	1.92×
$225	**27.00**	**19.75**	**9.51%**	**2.29×**
$250	30.00	22.75	10.95%	2.66×
$275	33.00	25.75	12.40%	3.02×

Exhibit 52 | Development Yield (Year 1) — rent against development uses

All-in cost	$175 rent	$200 rent	$225 rent	$250 rent	$275 rent
$180m	7.64%	9.31%	10.97%	12.64%	14.31%
$200m	6.88%	8.38%	9.88%	11.38%	12.88%
$220m	6.25%	7.61%	8.98%	10.34%	11.70%
$240m	5.73%	6.98%	8.23%	9.48%	10.73%
$260m	5.29%	6.44%	7.60%	8.75%	9.90%

Rent columns are $/IT kW/month. The actual base cost is $207.73m, between the $200m and $220m rows. Do not call a grid point the exact base case. Cost yield is not IRR or a transaction cap rate.

Read the mechanism before interpreting the result

Lower rent reduces NOI immediately in the year-one screen while the assumed operating costs and interest remain. Higher development cost reduces cost yield even when rent is unchanged. The grid is useful because it separates pricing power from capital intensity; it does not establish which market rent or contractor price can actually be achieved.

Terminal value carries a different mechanism. Holding Year-11 NOI fixed, the 7% exit cap produces $354.56 million of gross value; at 9% it is $275.77 million. Net equity sale proceeds fall from $230.52 million to $153.31 million after the modeled debt and selling costs. These are valuation sensitivities, not bids from buyers.

WHAT WOULD CHANGE THE CONCLUSION | Matched lease evidence, credible scope-priced construction and a better-supported terminal assessment can narrow uncertainty. A tighter-looking spreadsheet does not narrow those risks by itself.

Source: Sensitivity and Downside tabs of GII 10MW Underwriting. Independent screens do not imply a combined stressed IRR or probability-weighted forecast.

GII UNDERWRITING 101 | WORKED EXPLANATION

13 | Separate a lower return from a cash shortfall

A sensitivity table isolates a mechanism; it does not decide who can fund the outcome.

Lower rent reduces NOI in the rental sensitivity while year-one property cost assumptions remain fixed. Higher development cost reduces Development Yield even if NOI is unchanged. Delivery delay raises another question: interest and fixed carry can continue before rent starts. Refinancing risk asks how much new debt is available when existing principal must be repaid.

The screens should not be combined mechanically. They do not automatically extend the monthly schedule, combine default and delay or calculate a single stressed IRR. They show the direction and stated cash implication of independent assumptions.

Exhibit 53 | Read each stress by the question it answers

Screen	Question answered	What remains unestablished
Rent / cost sensitivity	How does Development Yield change?	Probability of that rent or cost.
Interest-only delay	How much additional interest accrues?	All fixed carry or revised project IRR.
Broader delay screen	What interest and carry need funding?	An integrated revised schedule.
Rent interruption	What stated cash exposure arises?	Legal timing, recovery or replacement demand.
Refinancing shortfall	What gap results under assumed tests?	A takeout commitment or appraisal.

The delay example has two legitimate boundaries

At $116.94 million of fully drawn debt and an 8% construction rate, twelve months of interest is $9.36 million. The broader Downside screen adds $1.50 million of fixed carry, producing $10.86 million. They answer different questions; they are not inconsistent estimates of the same boundary.

The investment memorandum must then identify who funds the added amount and which milestone permits the next decision. Positive base-case coverage does not provide missing cash. Nor is deferred rent another contractor invoice: postponed income and extra cash expenditure must remain distinct.

INVESTOR TAKEAWAY | A lower yield is a return issue. An unfunded cost is a liquidity issue. One event may create both, but its mechanisms should be identified separately.

Source: Sensitivity, Downside, Development and Monthly CF tabs of GII 10MW Underwriting. No combined downside forecast or stressed IRR is added.

CONTINUED | LIQUIDITY AND REFINANCING

13 | Downside risk is the need for the next dollar

Separate a cost that must be funded from revenue that is delayed or not received.

Exhibit 54 | Delivery delay after the original build — US$ millions

Added delay	Extra interest	Fixed carry	Additional equity
6 months	4.68	0.75	5.43
12 months	**9.36**	**1.50**	**10.86**
24 months	18.71	3.00	21.71

Debt is assumed fully drawn. Equity pays incremental simple interest and normalized construction carry. The screen excludes interest-on-interest, extension fees, customer remedies and maturity default. A year of deferred $27 million rent is a timing exposure; it is not added again as a construction invoice.

Exhibit 55 | Three-month completed-facility interruption — US$ millions

Funding need	Amount $m
Fixed property operations during interruption	1.81
Reserve and debt service during interruption	2.30
Unrecovered electricity already funded	1.34
One-time re-leasing / retrofit cash	5.00
Total additional cash requirement	**10.45**

This separate scenario assumes three months without rent, one month of electricity already funded but unrecovered, and $5 million of one-time re-leasing or retrofit cash. It maintains property costs, the reserve and debt interest. No recovery from deposits, guarantees or insurance is assumed. The $6.75 million of rent not received is shown in the workbook for comparison—not added to the funding-need total.

Exhibit 56 | Separate Year-5 refinancing screen — US$ millions

Appraisal cap	Debt capacity	Principal shortfall	Equity need incl. fee
7.00%	155.44	0.00	1.17
9.00%	135.32	0.00	1.17
11.00%	110.72	6.22	7.33

Debt capacity is the lesser of 55% loan-to-value and borrowing supported by next-year cash after reserve at 1.50× interest coverage and 9% interest. Only the amount needed to refinance the existing loan is drawn; fees apply to that borrowing. This Year-5 maturity is a separate stress, not the base ten-year debt structure. At an 11% appraisal cap, the modeled funding gap including fee is $7.33 million.

GII CONTROL POINT | A reserve, sponsor commitment or alternative funding source must be documented before it is treated as protection. The model identifies a cash need; it does not prove who will meet it.

Source: Downside, Landlord and Development tabs of GII 10MW Underwriting. Stress inputs are separate screens, not refinancing commitments or recovery estimates.

PART IV | INVESTMENT COMMITTEE

14 | The decision is proceed, reprice or pause

The purpose of the model is to identify the evidence required for a decision—not manufacture approval.

The 10 MW exercise establishes a coherent property investment model and identifies what must be verified, but it cannot justify an unconditional land purchase. The next investment-committee action is focused diligence on an executable power agreement, a buildable design and price, a lease with credible payment support, achievable financing and a realistic exit. The case demonstrates why a promising location becomes a financeable real estate asset only after those commitments connect.

Exhibit 57 | Investment committee memorandum — the decision framework

Decision element	Current case assessment	Condition before a commitment
Investment proposition	10 MW commissioned landlord facility; no tenant IT owned	Match scope to the intended customer and property
Market	Dated regional context, not parcel-level demand proof	Matched competing capacity and customer requirements
Site and power	Hypothetical; no executed site/service evidence	Title, approvals, utility scope and credible milestones
Cost and delivery	Allowances and a fixed teaching schedule	Matched bids, contingencies and acceptance plan
Tenant and lease	No actual tenant or guarantee underwritten	Entity financials, executed terms and support review
Capital and liquidity	Illustrative loan and equity structure	Achievable draws, reserves and shortfall funding
Exit	Assumed cap rate and continued tenant performance	Independent view of remaining lease, credit and retrofit
Recommendation	**PROCEED TO DILIGENCE**	**Not unconditional acquisition or financing approval**

What would strengthen or weaken the thesis?

Confidence improves when delivery milestones are documented, cost scope is matched, acceptance conditions are achievable and the tenant's collections support its obligations. It weakens when capacity definitions change, approvals move outside the schedule, customer commitments cannot become billing, funding conditions tighten or a replacement occupier requires capital not included in the reserve.

Portfolio analysis requires another step. Several facilities may share the same customer, utility, equipment generation, lender or delivery window. Counting properties is not sufficient to demonstrate diversification. A look-through exposure register should identify those shared dependencies, while keeping the individual property underwriting separate from portfolio allocation judgment.

CLOSING ASSESSMENT | Control creates value only when it survives execution and supports cash conversion. The relevant chain is site rights → usable power → accepted facility → enforceable rent → funded obligations → recoverable property. The next dollar should follow evidence, not the size of the headline.

Source: Lease Screen, Research, Downside and Checks tabs of GII 10MW Underwriting. GII decision framework; transaction-specific specialist review remains necessary.

REFERENCE | ESSENTIAL VOCABULARY

Essential vocabulary and formula reference

Keep the unit, asset boundary and reporting period visible.

Term	Meaning in this paper
kW / MW	Power or capacity. One MW = 1,000 kW. Specify IT, facility or utility boundary.
kWh / MWh	Energy consumed over time. One MWh = 1,000 kWh; power × hours gives energy.
Critical IT capacity	Rated power available to the computing equipment under the specified facility design.
Billable capacity	Capacity that the contract requires the tenant to pay for; not necessarily actual load.
Average electrical loading	Average IT draw divided by rated IT capacity for the period.
Paid GPU-hour fraction	Revenue-producing GPU hours divided by installed GPU hours in the optional model.
PUE (Power Usage Effectiveness)	**Total facility energy divided by IT energy over the same boundary and period.**
Powered shell / commissioned facility	Different delivery scopes. The GII case assumes a tested, commissioned facility.
Commissioning / acceptance	Testing readiness versus meeting the customer's contractual acceptance requirements.
Capacity rent	The modeled recurring facility charge per reserved IT kW per month.
Electricity pass-through	Utility cost recovered from the tenant; at-cost recovery creates no modeled markup.
NOI / after-reserve cash	Property operating income versus the amount after the recurring facility capital allowance.
Debt coverage / DSCR	Cash-flow measure divided by debt service; specify before or after reserve.
IRR / equity multiple	Timing-sensitive return versus total modeled cash received divided by equity funded.
Backlog / ARR / collections	Different demand and financial indicators; do not treat them as cash on hand.
Recourse / collateral / guarantee	Contract-specific payment rights; ownership or a logo does not establish them.
Total Development Cost (TDC)	Land Cost + Hard Costs including construction contingency + Soft Costs including development-period finance. Tenant GPUs are excluded.

Reference calculations

Calculation	Equation
Annual capacity rent	IT kW × billable fraction × $/kW/month × 12
Annual electricity cost	IT kW × average electrical loading × annual hours × PUE × blended $/kWh
Development Yield	Annual stabilized property NOI / Total Development Cost; Year 1 is assumed stabilized in the model.
Gross terminal property value	Next-year NOI / assumed exit capitalization rate

Source: Inputs, Power, Development, Landlord, Monthly CF, Integrated and Lease Screen tabs of GII 10MW Underwriting. The definitions explain the case. Abbreviations: CDS = credit-default swap; SPV = special-purpose vehicle; DDTL = delayed-draw term loan; LC = letter of credit. Documents may define metrics differently.

REFERENCE | MODEL NAVIGATION

Workbook navigation and exhibit index

The 10 MW underwriting assumptions, working calculations and seventeen investor exhibits are organized in the companion workbook.

The seventeen investor exhibits in the appendix correspond to the paired investor tabs of GII 10MW Underwriting. Working tabs hold the formulas and detailed schedules. Use the index below to locate a subject without spreadsheet coordinates.

Working tab	Investor-exhibit tab	Report page
Start	E01_Overview	56
Inputs	E02_Inputs	57
Development	E03_Development	58
Construction	E04_Construction	59
Landlord	E05_Landlord	60
Power	E06_Power	61
Integrated	E07_Integrated	62
Sensitivity	E08_Sensitivity	63
Research	E09_Research	64
Monthly CF	E10_Monthly_Returns	65
Market	E11_Market	66
Tenant Credit	E12_Tenant_Credit	67
GMI Case	E13_GMI_Case	68
Lease Screen	E14_Lease	69
Downside	E15_Downside	70
Trace	E16_Trace	71
Checks	E17_Checks	72

Find the calculation by model tab

Metric	Model tab	Metric	Model tab
IT capacity	Inputs	Total Development Cost	Development
Debt / equity	Development / Construction	Capacity rent / NOI	Landlord
Annual electricity	Power	Equity cash	Landlord
Unlevered / levered IRR	Monthly CF	Equity multiple	Monthly CF

The paper uses tab names and units; the workbook retains exact cell references.

Source: GII 10MW Underwriting, including paired working and investor-exhibit tabs. Word and PDF tables are publication snapshots, not automatically refreshed model outputs.

BIBLIOGRAPHY | SOURCES, METHODS AND PRIOR RESEARCH

References 1–9

Original source dates are retained. References 30–38 and 41–43 address credit markets; 39–40 document Santa Clara utility issues.

[1] Silicon Valley Power. (n.d.). Rates and Fees. City of Santa Clara.

The model records a January 2026 effective rate. The parcel-specific applicable tariff is not established.

Original source

[2] Google Data Centers. (n.d.). Power usage effectiveness / data center efficiency.

Measurement boundaries only; the case PUE remains an independent assumption.

Original source

[3] NVIDIA. (n.d.). Hardware. NVIDIA DGX GB Rack Scale Systems User Guide.

Architecture-specific documentation, not a universal GPUs-per-MW conversion.

Original source

[4] Core Scientific, Inc. (2026). Form 10-Q for the quarter ended June 30, 2026.

Consolidates the pass-through and capacity-status references to one filing.

Original source

[5] CoreWeave, Inc. (2026). Form 10-Q for the quarter ended June 30, 2026.

Issuer data, not legal support for the hypothetical property lease.

Original source

[6] Nebius Group N.V. (2026, August 12). Second-quarter 2026 financial statements and notes. Form 6-K, Exhibit 99.2, Note 8 (operating leases).

Note 8 reports current ($114.9m) and non-current ($1,510.4m) operating lease liabilities and $12.05bn of leases not yet commenced.

Original source

[7] Nebius Group N.V. (2026, March 16). Form 6-K concerning the Meta capacity arrangement.

Conditional capacity purchases are not a blanket property-rent guarantee.

Original source

[8] Nebius Group N.V. (2026, July 17). Form 6-K concerning secured asset-backed financing.

Subsequent event; not included in the June 30 balance sheet.

Original source

[9] GMI Cloud. (n.d.). About GMI Cloud.

Company description, not evidence of ownership of a particular parcel.

Original source

BIBLIOGRAPHY | SOURCES, METHODS AND PRIOR RESEARCH

References 10–18

Original source dates are retained. References 30–38 and 41–43 address credit markets; 39–40 document Santa Clara utility issues.

[10] GMI Cloud. (2026, October 1). GMI Cloud Raises Over $660 Million to Accelerate Global AI Infrastructure Expansion. PR Newswire.

Company-issued disclosure. Equity and credit availability are different forms of capital.

Original source

[11] CBRE. (2026, September 1). Silicon Valley Data Center Demand Continues to Outpace Supply, Causing Vacancy to Fall Further and Rents to Rise.

H1 2026 source record; asking-rent context is not a negotiated 10 MW lease.

Original source

[12] CBRE. (2026, August 27). North America Data Center Trends H1 2026.

Preserves the source's defined primary-market universe.

Original source

[13] CBRE. (2026, September 8). North American Data Center Demand Continues to Outpace Supply Despite Record Construction Activity.

H1/Q2 observations carried by the model.

Original source

[14] JLL. (2026, August 11). North America Data Center Report Midyear 2026.

A broader capacity universe, not additive to CBRE primary-market totals.

Original source

[15] JLL. (2026, February 17). Data center sector enters hyperdrive as Texas prepares to dethrone Virginia as global leader.

Year-end 2025 coverage context, not a numerical reconciliation of broker universes.

Original source

[16] U.S. Environmental Protection Agency. (n.d.). Clean Air Act Resources for Data Centers.

Permitting resource; no site-specific legal conclusion is made.

Original source

[17] Global Innovation Institute. (n.d.). Restaurant Scale Is an Operating-System Question, Not a Store-Count Question. GII Research Note No. 1.

Methodological and editorial reference, not data center market evidence.

Original source

[18] Cui, L. (2026, October). The State of the AI Data Center 2026: Demand, delivery and the economics of the AI data-center build-out.

Research publication (information cutoff October 5, 2026); referenced for evidence definitions and comparison discipline.

BIBLIOGRAPHY | SOURCES, METHODS AND PRIOR RESEARCH

References 19–28

Original source dates are retained. References 30–38 and 41–43 address credit markets; 39–40 document Santa Clara utility issues.

[19] Singer, B., et al. (2026, February 23). GS SUSTAIN: AI/Data Center Power Demand—How rising hyperscaler reinvestment impacts the 6 Ps driving power growth/constraints. Goldman Sachs Global Investment Research.

Redacted Goldman Sachs client research; attributed thematic framework only. It is not reproduced or incorporated as a project forecast.

[20] Singer, B., et al. (2026, August 6). GS SUSTAIN: AI/Data Centers—Power demand, cyclical progression and Sustainability implications. Goldman Sachs Global Investment Research.

Redacted Goldman Sachs client research; attributed physical-environment and capital-cycle discussion only.

[21] Lee, C. (2026, August 21). CRE Asia Restaurant 100: The 100 Leading Asian Restaurant Systems in the United States. Founding Research Paper. Global Innovation Institute.

Earlier GII publication. Prior GII research on measurement, economic scale and the strength of operating systems.

[22] Lee, C. (2026, August 5). HF Foods Group Inc. (NASDAQ: HFFG): A differentiated national Asian-foodservice network—but not yet a durable cash-economics story. GII Initial Coverage. Global Innovation Institute.

Earlier GII publication. Company analysis illustrating investment debate and cash-conversion discipline.

[23] Lee, C. (2026). CRE Model Portfolio Construction Paper: Inaugural Founding Document. Global Innovation Institute.

Earlier GII publication. Testing Beta inception August 1, 2026; original price qualifications remain with that publication.

[24] Lee, C. (2026, Q3). China Restaurant Empire Quarterly. Edition No. 1. Global Innovation Institute.

Earlier GII publication; cutoff July 11, 2026. Comparison by economic structure and denominator.

[25] Global Innovation Institute. (2026). Valley101 Alignment 2026—The Gigawatt Race: Boom, Debt, and the Cost of AI. Expanded review.

Unpublished GII field report; event October 11, 2026. Transcript is not independently audio-verified and does not establish executed terms.

[26] Global Innovation Institute. (2026). Sohn San Francisco 2026—Franklin Parlamis: Bilingual Research Report.

Unpublished GII field report documenting October 13, 2026. Convertible-arbitrage context informs credit questions, not a trading recommendation.

[27] Global Innovation Institute. (2026, October). Data Center Real Estate Training Library—Cervantes Lee.

GII source roadmap, not a market database. Underlying reading-list articles are not all claimed as directly reviewed here.

[28] Lee, C. / Global Innovation Institute. (2026). GII 10MW Underwriting. Excel teaching model.

Companion numerical system of record.

BIBLIOGRAPHY | SOURCES, METHODS AND PRIOR RESEARCH

References 29–43

Original source dates are retained. References 30–38 and 41–43 address credit markets; 39–40 document Santa Clara utility issues.

[29] Walker & Dunlop. (n.d.). Development Yield-on-Cost. CRE Glossary.

Method reference for stabilized NOI / total project cost. Financing and contingency classification follows the explicit GII convention.

Original source

[30] Mutua, C. (2026, October 15). CoreWeave Risk Gauge Soars, Pricing In 60% Chance of Default. Bloomberg News / Bloomberg Law.

ICE intraday CDS quotation; public article excerpt, not a live dealer quote. Source

[31] Westbrook, T., & Cooper, A. (2026, October 15; updated October 18). AI credit worries send default insurance to record high. Reuters.

S&P Global market-data reporting; timestamps and tenor matter. This is not a GII default forecast. Source

[32] McGee, S., & Chavez-Dreyfuss, G. (2026, October 16; updated October 19). CoreWeave bond rout tests market's math on AI buildout. Reuters.

Reported investor views on funding selectivity; not contractual changes to the hypothetical lease. Source

[33] Reuters. (2026, October 19). AI stocks bounce back after bruising selloff, CoreWeave gets Goldman upgrade.

Tradeweb 2031 bond-yield observation and attributed Goldman view; not an original bank research note. Source

[34] Reuters. (2026, October 20). CoreWeave debt selloff poses limited risk to global banks, J.P. Morgan says.

Bank-exposure assessment based on the brokerage's simplified assumptions; not landlord recourse. Source

[35] CoreWeave, Inc. (2026, March 31). CoreWeave Closes Landmark $8.5 Billion Financing Facility, Achieving First Investment-Grade Rated GPU-backed Financing.

Earlier issuer disclosure used for structural context: tranche pricing, collateral and ratings are facility-specific. Source

[36] CoreWeave, Inc. (2026, August 10). CoreWeave Closes $2.6 Billion Loan Facility, Expanding Financing Flexibility for AI Infrastructure.

Earlier disclosure: approximately five-year debt against average three-year customer contracts; renewal exposure. Source

[37] Basel Committee on Banking Supervision. (2019). Credit valuation adjustment framework, MAR50. Bank for International Settlements.

Conceptual distinction between market-implied/risk-neutral probability and real-world default likelihood; not regulatory advice. Source

[38] International Swaps and Derivatives Association. (n.d.). Big Bang Protocol: Frequently Asked Questions—100/500 Credit Derivative Initiatives.

Standard fixed-coupon and upfront-payment conventions; actual CDS economics require contract-specific valuation. Source

[39] City of Santa Clara. (2026, October 6). Staff presentation and policy review concerning new data center development, Council File 26-1037.

Municipal record cited for the 2023 pause in new data center load applications and the expected system-improvement timeline. Source

[40] City of Santa Clara. (2026, April 21). Substation agreement amendments, available capacity, and load-development fees, Council File 26-330.

Municipal record on substation capacity and load-development fees; no project-specific fee is modeled. Source

[41] Reuters. (2026, October 19). Top hyperscalers likely to have more AI-linked debt than now known, S&P Global warns.

Reported rating-agency commentary; not a rating action on any tenant in this case. Source

[42] Benzinga. (2026, October 21). CoreWeave bonds steady, yields near 15%; reported October 21 market observation.

Secondary-market bond observation; price and yield are instrument- and date-specific. Source

[43] Reuters Breakingviews. (2026, October 22). AI enthusiasm's breaking point (Viewsroom podcast; analyst commentary).

Analyst commentary; context only, not a reported credit event. Source

METHODOLOGY | INDEPENDENT GII RESEARCH

Methodology, author and publication controls

A reproducible model is a starting point for diligence, not a transaction certification.

Numerical system of record

GII 10MW Underwriting is the controlling calculation file for the hypothetical development. It defines Land, Hard and Soft Costs and applies the same Development Yield convention throughout. Narrative examples refer to named Excel tabs, while live formulas remain in the workbook.

The model assumes a 24-month construction period, full initial billability, a fifteen-year lease, a ten-year operating hold and interest-only operating debt. Its downside screens are independent; they do not form one combined forecast or a set of stressed IRRs. The optional cloud module leaves GPU financing, taxes and other obligations unmodeled. Missing values are not assumed to be zero.

Evidence and editorial boundaries

Public-company and market observations come from dated filings, industry research and GII source records; their original measurement periods remain visible. Chapter 10 separately reviews October 15–22 credit reporting. Conference observations are attributed rather than treated as contracts. The hypothetical property has no independently verified parcel, tenant, utility-service agreement, construction quote or lender commitment.

Interpret all development measures by their economic scope: land, permanent facility systems, finance, operating costs and tenant computing equipment. Construction interest already included in Total Development Cost should never be double-counted as incremental delay expense.

Research independence and appropriate use

This is a general, impersonal research and education publication. It is not sponsored, commissioned, funded or endorsed by GMI Cloud. References to CoreWeave, Nebius, NVIDIA or Goldman Sachs do not imply affiliation, endorsement or an engagement. No securities rating, price target, portfolio allocation, engineering certification, legal opinion or property appraisal is provided. Transaction decisions require independent financial, engineering, legal, tax and site-specific review.

AI-assisted tools supported research organization, calculation extraction, drafting and document checks. The author remains responsible for evaluating the source evidence, numerical assumptions and conclusions presented in this publication.

About Dr. Cervantes Lee

Dr. Cervantes Lee is a UNLV faculty member and Executive Director of the Global Innovation Institute. He has held investment and operating-company roles with AIG Global Real Estate, CBRE Global Investors, Panda Restaurant Group and BEKE, and earned a Master of Science in Real Estate Development from MIT. His research applies physical-business economics and capital-allocation discipline to AI infrastructure.

SUGGESTED CITATION | Lee, C. (2026, October 22). Power-Constrained Silicon Valley: Data Center Real Estate Underwriting 101. GII Research Note No. 2 (Version 1.0). Global Innovation Institute. Model: GII 10MW Underwriting.

Source: GII 10MW Underwriting and the bibliography. Model assumptions and return definitions are stated in the text. Corrections: clee@giinow.org. Series: www.giinow.org/research-notes.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E01 | Investment at a glance

Where does the 10 MW developer earn returns and bear risk?

GII CONTROL POINT | Value follows enforceable control of power delivery, site rights, rentable capacity and customer cash—not announced GPU or MW totals.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
THE 10 MW CASE | INVESTMENT AT A GLANCE			
Critical IT capacity	10 MW	Start tab	Deliverable IT load; utility commitment must be verified.
Total Development Cost	$207.73m	Start tab	Land, facility and construction finance; no GPUs.
Developer equity	$90.79m	Start tab	Required cash/equity under the modeled funding.
Construction/operating debt	$116.94m	Start tab	Interest-only operations assumption.
Year-one reserved-capacity rent	$27.00m	Start tab	Rental income before property operating costs.
Year-one electricity pass-through	$16.10m	Start tab	Reimbursed at cost; not landlord margin.
Year-one property NOI	$19.75m	Start tab	Rent less non-power property operating costs.
Year-one cash to equity	$10.56m	Start tab	After reserve and interest; before taxes.
INVESTMENT RESULTS | ILLUSTRATIVE, NOT A QUOTATION			
Development Yield (Year 1)	9.51%	Start tab	Operating property yield, not a market cap rate.
After-reserve coverage	2.29×	Start tab	Reserve-adjusted cash versus interest expense.
Year-one cash-on-cash	11.64%	Start tab	Based on initial developer equity.
Unlevered annualized IRR	12.52%	Start tab	Includes construction and modeled terminal sale.
Levered annualized IRR	16.81%	Start tab	Especially sensitive to debt and exit assumptions.
WHAT MATTERS BEFORE APPROVING CAPITAL			
Land title, power and permitted IT MW	REQUIRED	DILIGENCE	Independent verification required before investment.
Lease entity, guarantee and acceptance	REQUIRED	DILIGENCE	Recognizable logos are not enforceable rent support.
Exit cap, re-leasing and technology fit	REQUIRED	DILIGENCE	Terminal value is a scenario, not guaranteed liquidity.

Interpretation / limitation: No actual title, utility commitment, lease, tenant guarantee or financing offer is established. Cost yield and IRR are different measures.

Source: Start tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E02 | The underwriting assumptions

Which quantities are evidence and which are editable scenario assumptions?

GII CONTROL POINT | Property returns depend on assumptions. Separate published market evidence from adjustable 10 MW teaching-case parameters.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
PROPERTY AND DELIVERABILITY			
Critical IT capacity	10 MW	Inputs tab	Rated IT, NOT total utility draw.
Land area	6 acres	Inputs tab	Illustrative, no actual site selected.
Land opportunity cost per acre	$8.00m/acre	Inputs tab	Value land even when contributed.
Gross building area	100,000 SF	Inputs tab	No universal MW-to-SF conversion.
Construction period	24 months	Inputs tab	Structural 24 months; do not edit without rebuilding.
RENT, POWER AND CAPITAL			
Capacity rent per kW-month	$225/kW/mo	Inputs tab	Non-power facility expenses included.
Reserved capacity billed	100.00%	Inputs tab	Contractual billability, not GPU utilization.
Rent escalation	2.50%	Inputs tab	Annually.
Average IT electrical loading	85.00%	Inputs tab	Electrical load, NOT billable occupancy.
Annual facility PUE	1.36	Inputs tab	Total facility energy / IT energy.
Blended electricity reference	$0.159/kWh	Inputs tab	Tariff verification required.
Assumed lease term	15 years	Inputs tab	Ten operating years held, then assumed sale.
Operating hold	10 years	Inputs tab	Structural fixed-year model.
Exit capitalization rate	7.00%	Inputs tab	Not a transactional market quotation.
Debt share of pre-financing uses	60.00%	Inputs tab	Different from debt/all-in uses.
Construction interest	8.00%	Inputs tab	Annual model assumption.
Operating interest	7.00%	Inputs tab	Interest only.
FACILITY AND CLOUD BOUNDARY			
Hard-cost contingency	10.00%	Inputs tab	Applies to facility hard costs.
GPU count: optional cloud case	4,000 GPUs	Inputs tab	Not purchased by the property landlord.
Paid GPU-hour fraction	75.00%	Inputs tab	Separate from reserved MW and electrical loading.

Interpretation / limitation: Workbook input values are reproduced here. Months, years, capacity, energy and dollars retain their own units. The 24-month build and ten-year hold are fixed schedule structures.

Source: Inputs tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E03 | Development capital and sources

How much money is required to deliver the real estate asset?

GII CONTROL POINT | Control land, the exact facility delivery scope, the utility work schedule and the capital required to achieve acceptance.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
LAND, SHELL, POWER AND COOLING			
Economic land cost	$48.00m	Development tab	Site value, not zero for contributed land.
Civil/sitework	$5.00m	Development tab	Utility yards and site preparation.
Building shell	$23.00m	Development tab	Do not compare all-in cost with industrial shell.
Utility connection/substation	$12.00m	Development tab	Requires utility scope confirmation.
Electrical distribution & UPS	$35.00m	Development tab	Permanent facility systems.
Backup generation	$12.00m	Development tab	Resilience equipment, not incremental saleable MW.
Cooling systems	$23.00m	Development tab	Facility side of equipment demarcation.
Fire/controls/security/fiber	$6.00m	Development tab	Excludes tenant IT network equipment.
Testing/commissioning	$3.00m	Development tab	Must support tenant acceptance.
Hard Costs before contingency	$119.00m	Development tab	Excludes land and soft costs.
ALL-IN DEVELOPMENT SOURCES AND USES			
Permits/design/engineering	$8.00m	Development tab	Professional and entitlement costs.
Hard-cost contingency	$11.90m	Development tab	10% of hard costs in base case.
Costs before financing	$194.90m	Development tab	Land + hard + soft + contingency.
Loan principal	$116.94m	Development tab	60% of eligible pre-financing costs.
Loan fee	$1.17m	Development tab	Equity financed.
Construction interest	$11.66m	Development tab	24-month simulated draws.
Total financing costs	**$12.83m**	**Development tab**	**Fee plus interest.**
TOTAL DEVELOPMENT COST	**$207.73m**	**Development tab**	**Property only; excludes GPUs.**
REQUIRED DEVELOPER EQUITY	**$90.79m**	**Development tab**	**All-in uses minus loan principal.**
All-in cost per IT MW	$20.77m/MW	Development tab	Includes land and financing.
All-in cost per gross SF	$2,077.29/SF	Development tab	Not comparable to bare warehouse shell.
Hard Costs including contingency	$130.90m	Development tab	Hard works plus contingency.
Soft Costs including financing	$28.83m	Development tab	Other soft costs plus development finance.
Development Yield (Year 1)	9.51%	Development / Landlord tabs	Assumed stabilized NOI / Total Development Cost.

Interpretation / limitation: The exhibit is the full investor-tab table. The underlying itemized budget is on page 21. Do not sum components and subtotals together.

Source: Development tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E04 | Capital deployment and time-to-power

What must be funded before the property earns rent?

GII CONTROL POINT | The critical path determines capital carry. Delay in utility service can increase funded cost before rent starts.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
CONSTRUCTION DRAWS | BASE-CASE FINANCING			
Month 0 | land & eligible uses	$48.00m	Construction tab	Land purchase at model start.
Month 0 | debt draw	$28.80m	Construction tab	Initial loan funding.
Month 0 | developer equity	$20.37m	Construction tab	Land and loan fee cash.
Month 1 | eligible uses	$6.12m	Construction tab	Model assumes level draws.
Month 1 | interest	$0.20m	Construction tab	Opening balance plus half current draw.
Month 6 | interest	$0.33m	Construction tab	Interest rises with outstanding debt.
Month 12 | interest	$0.47m	Construction tab	Debt increases through construction.
Month 18 | interest	$0.62m	Construction tab	Not a contractor schedule.
Month 24 | interest	$0.77m	Construction tab	Final build-month interest.
TOTALS | SOURCE CHECK			
Total eligible uses	**$194.90m**	**Construction tab**	**Reconciles to Development tab.**
Total loan draws	**$116.94m**	**Construction tab**	**Reconciles to Development tab.**
Total interest expense	**$11.66m**	**Construction tab**	**Reconciles to Development tab.**
Loan origination fee	$1.17m	Construction tab	Equity funded.
Total developer equity	**$90.79m**	**Construction tab**	**Reconciles to Development tab.**
End-of-construction principal	$116.94m	Construction tab	Repayment at assumed exit.

Interpretation / limitation: Construction interest and eligible uses are already included in Total Development Cost; neither is a delay cost. See E15 for incremental delay cash.

Source: Construction tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E05 | Landlord cash-flow economics

How does booked rent become NOI and equity cash?

GII CONTROL POINT | Billable critical-IT capacity and legally collectible rent drive real estate NOI; utility pass-through is not operating profit.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
YEAR-ONE PROPERTY ECONOMICS			
Reserved critical IT capacity	10 MW	Landlord tab	Fully billable in the base case.
Capacity rent per kW per month	$225/kW/mo	Landlord tab	Includes non-power OPEX in the model.
Contractual capacity rent	$27.00m	Landlord tab	Actual signed lease would be required.
Electricity reimbursement	$16.10m	Landlord tab	Assumed recovered at cost.
Total cash receipts	**$43.10m**	**Landlord tab**	**NOT all high-margin rental revenue.**
Electricity expense	($16.10m)	Landlord tab	Matches reimbursement in base case.
Total property operating expenses	**($23.35m)**	**Landlord tab**	**Includes power; negative cash line.**
NET OPERATING INCOME	**$19.75m**	**Landlord tab**	**Before capital reserve and debt.**
Facility capital reserve	($1.00m)	Landlord tab	Below NOI in this model.
After-reserve cash	**$18.75m**	**Landlord tab**	**Funds interest under assumed debt.**
Interest-only debt service	($8.19m)	Landlord tab	No amortization in this scenario.
CASH TO EQUITY	**$10.56m**	**Landlord tab**	**Assumes full collections; before income tax.**
RISK, CREDIT AND EXIT			
NOI debt coverage	2.41×	Landlord tab	NOI divided by interest.
After-reserve coverage	2.29×	Landlord tab	After-reserve cash divided by interest.
NOI / development cost	9.51%	Landlord tab	Base property yield.
Cash-on-cash on equity	11.64%	Landlord tab	Year-one equity payout ratio.
Tenant rent + electricity bill	$43.10m	Landlord tab	Tenant pays utility in addition to rent.
Year 10 rent	$33.72m	Landlord tab	Remaining term matters at exit.
Year 10 NOI	$24.26m	Landlord tab	Exit value uses Year-11 NOI of $24.82m.
Net equity sale proceeds	**$230.52m**	**Landlord tab**	**Highly exit-cap dependent.**

Interpretation / limitation: Total operating expenses already include electricity. Do not subtract the total and its electricity component again. NOI excludes the recurring capital reserve and debt service.

Source: Landlord tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E06 | Electricity cost and capacity

How does 10 MW of IT power become a utility bill?

GII CONTROL POINT | Rated MW, actual electrical consumption and billable MW answer three different questions. Electricity is reimbursed under this case.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
FROM MEGAWATTS TO THE ELECTRICITY BILL			
Critical IT load	10,000 kW	Power tab	10 MW × 1,000 kW/MW.
Average IT electrical loading	85.00%	Power tab	NOT lease occupancy or paid GPU utilization.
Average IT power draw	8,500 kW	Power tab	Rated kW × average loading.
Hours in model year	8,760 hours	Power tab	Non-leap year.
Annual IT energy	74,460.0 MWh	Power tab	IT kW × loading × 8,760 hours ÷ 1,000.
Annual PUE	1.36	Power tab	Total facility energy / IT energy.
TOTAL FACILITY ENERGY	**101,265.6 MWh**	**Power tab**	**Includes cooling and electrical losses.**
Facility-support energy	26,805.6 MWh	Power tab	Overhead—not saleable compute.
Blended energy price	$0.159/kWh	Power tab	SVP benchmark; tariff-specific billing may differ.
TOTAL ELECTRICITY COST	**$16.10m**	**Power tab**	**Electricity reimbursed by modeled tenant.**
Monthly equivalent	$1.34m	Power tab	Annual / 12.
Average whole-facility draw	11.56 MW	Power tab	Energy-weighted annual average.
Indicative full-load facility draw	13.60 MW	Power tab	Not engineering connection sizing.
SENSITIVITY | DO NOT CONFUSE USAGE WITH RENT			
50% electrical loading | annual cost	$9.47m	Power tab	Rent unchanged under assumed lease.
85% loading | annual cost	$16.10m	Power tab	Base-case figure.
100% loading | annual cost	$18.94m	Power tab	Actual PUE may change with loading.
Annual cost of +$0.01/kWh	$1.01m	Power tab	Pass-through still affects tenant credit.

Interpretation / limitation: PUE is an annual energy ratio. The indicative full-load MW calculation is not a connection, peak-demand or redundancy design. Load sensitivity holds PUE constant.

Source: Power tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E07 | Ownership model comparison

What changes when the cloud operator also owns the facility?

GII CONTROL POINT | Owning GPUs adds substantial equipment investment, customer-price risk and replacement cycles to the property exposure.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
LANDLORD VS. VERTICALLY INTEGRATED CLOUD			
Property development + financing	$207.73m	Integrated tab	Real estate and permanent facility systems.
GPU-server fleet	$200.00m	Integrated tab	Optional cloud capital, NOT landlord property.
Network and storage	$25.00m	Integrated tab	Separate from landlord fiber pathways.
Working capital	$10.00m	Integrated tab	Cloud operating business.
TOTAL COMBINED INITIAL CAPITAL	**$442.73m**	**Integrated tab**	**Property + technology + working capital.**
REVENUE FROM PAID COMPUTING			
Installed GPUs	4,000	Integrated tab	Illustrative hardware count.
Paid utilization	75.00%	Integrated tab	NOT electrical loading.
Paid GPU hours / year	26,280,000 hours	Integrated tab	Equipment × annual hours × paid utilization.
Price per paid GPU-hour	$4.00/GPU-hour	Integrated tab	No actual GMI quotation implied.
EXTERNAL COMPUTE REVENUE	**$105.12m**	**Integrated tab**	**Only money from customers.**
OWNING PROPERTY VERSUS LEASING			
Compute EBITDA | tenant leasing	$49.02m	Integrated tab	External revenue after tenant cash operating costs.
Combined EBITDA | integrated owner	$68.77m	Integrated tab	Eliminates internal rent at group level.
IT renewal allowance	($45.00m)	Integrated tab	Simplified renewal-cycle assumption.
Integrated after-renewal allowance	$23.77m	Integrated tab	Still before certain financing and taxes.
Integrated cash after real-estate debt	$14.58m	Integrated tab	Not complete free cash flow.
Integrated operating break-even per GPU-hour	$3.10/GPU-hour	Integrated tab	After IT renewal; before property interest and facility reserve.
Tenant break-even per GPU-hour	$3.85/GPU-hour	Integrated tab	Case-specific contractual allocation.

Interpretation / limitation: GPU financing, taxes and other obligations are not modeled. The cash and break-even figures are incomplete business-economics screens, not distributable profit or a property valuation.

Source: Integrated tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E08 | Risk and rent sensitivity

Which assumptions are most consequential to property returns?

GII CONTROL POINT | Test rent and debt assumptions independently, and identify which change requires new equity or alters liquidity.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
RENT PRICING | OPERATING PROPERTY YIELD			
Rent $175 | NOI	$13.75m	Sensitivity tab	No different lease costs assumed.
Rent $200 | NOI	$16.75m	Sensitivity tab	Fixed non-power OPEX in sensitivity.
Rent $225 | NOI BASE	$19.75m	Sensitivity tab	Base investment case.
Rent $250 | NOI	$22.75m	Sensitivity tab	Requires comparable market evidence.
Rent $275 | NOI	$25.75m	Sensitivity tab	Not guaranteed achievable.
DEVELOPMENT DELAY | EXTRA DEBT INTEREST			
6-month delay interest	$4.68m	Sensitivity tab	Debt fully drawn, no rent during delay.
12-month delay interest	$9.36m	Sensitivity tab	Additional equity funding necessary.
24-month delay interest	$18.71m	Sensitivity tab	Excludes some non-interest carry.
CAP RATE | EFFECT ON EQUITY SALE PROCEEDS			
Exit 6% cap | net equity sale	$288.44m	Sensitivity tab	Lower cap implies higher sale valuation.
Exit 7% cap | net equity sale	$230.52m	Sensitivity tab	Base scenario.
Exit 8% cap | net equity sale	$187.09m	Sensitivity tab	Stress case.
Exit 9% cap | net equity sale	$153.31m	Sensitivity tab	More conservative terminal exit.
INVESTOR USE			
Base-case NOI | context only	$19.75m	Landlord tab	Run each case separately; no scenario IRR in tab.

Interpretation / limitation: The scenarios isolate assumptions; no combined stress or changed-scenario IRR is calculated. Delay interest excludes the extra fixed carry shown in E15.

Source: Sensitivity tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E09 | Source quality and required diligence

Which figures are sourced, assumed or still missing?

GII CONTROL POINT | A credible source must supply the unit, period, geography, definition and status. Announced MW is not deliverable MW.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
PUBLISHED EVIDENCE | SELECT PRIMARY SOURCES			
SVP power rate	SOURCE	Silicon Valley Power [1] / Research tab	Class-average rate is not an executed tariff.
CBRE Silicon Valley	SOURCE	CBRE Silicon Valley [11] / Research tab	Inventory, vacancy and rents need scope/date.
Power pass-through precedent	SOURCE	Core Scientific [4] / Research tab	Disclosed lease structure, not GMI's lease.
Rack density	SOURCE	NVIDIA [3] / Research tab	Architecture-specific, not a universal MW/SF.
CBRE primary markets	SOURCE	CBRE North America [12] / Research tab	Reported universe differs from JLL's.
JLL North America	SOURCE	JLL [14] / Research tab	Broader construction universe; cannot sum to CBRE.
CoreWeave filings	SOURCE	CoreWeave [5] / Research tab	Issuer balance sheet ≠ tenant-entity guarantee.
Nebius filings	SOURCE	Nebius [6] / Research tab	Reconcile current and non-current leases.
GMI financing release	SOURCE	GMI financing announcement [10] / Research tab	Equity + facility ≠ cash available to landlord.
REQUIRED DILIGENCE | NOT YET COLLECTED			
Land/title, appraisal, easements	REQUIRED	Research tab	Acquire independent parcel evidence.
Executed power/interconnection	REQUIRED	Research tab	Confirm firm MW, date, cost and curtailment.
Cooling, redundancy, commissioning	REQUIRED	Research tab	Engineer verifies IT MW delivery boundary.
Matched construction bids	REQUIRED	Research tab	Test the construction allowances.
Lease, obligor, remedies	REQUIRED	Research tab	Underwrite the actual tenant and guarantee.
Creditor liens and credit support	REQUIRED	Research tab	Avoid treating customer logo as surety.
Exit/re-leasing and retrofits	REQUIRED	Research tab	Model residual property adaptability.

Interpretation / limitation: SOURCE means a cited public record; REQUIRED means transaction documentation not yet collected. PASS means an arithmetic model check. Transaction-specific documents have not been collected for this hypothetical property.

Source: Research tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E10 | Return timing across the investment

What happens to cash across construction and ten operating years?

GII CONTROL POINT | Construction cash precedes rent; terminal value follows it. Match cash receipts and funding commitments to calendar dates.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
MONTHLY UNDERWRITING | PRINT SUMMARY			
Build period (months)	24 months	Inputs tab	Full month 0–24 construction schedule retained in Excel.
Operating hold (years)	10 years	Inputs tab	Full monthly schedule remains below the print view.
Total developer equity funded during construction	$90.79m	Monthly CF tab	Reconciles to Development tab.
Monthly CF equity funding check	$0	Monthly CF tab	Must equal zero.
ANNUAL CASH TO EQUITY | SOURCE: LANDLORD			
Operating year 1	$10.56m	Landlord tab	Annual operating cash, excludes terminal sale.
Operating year 2	$10.99m	Landlord tab	Escalating contractual rent.
Operating year 3	$11.43m	Landlord tab	Assumes no rent default.
Operating year 4	$11.88m	Landlord tab	Before tax and extraordinary repairs.
Operating year 5	$12.33m	Landlord tab	Lease not yet expired.
Operating year 6	$12.80m	Landlord tab	No financing amortization.
Operating year 7	$13.27m	Landlord tab	Fully billed reserved IT load.
Operating year 8	$13.76m	Landlord tab	OPEX grows separately.
Operating year 9	$14.26m	Landlord tab	Tenant remains in modeled occupancy.
Operating year 10	$14.77m	Landlord tab	Sale proceeds shown separately.
DISCOUNTED RETURNS | MONTHLY SERIES			
Unlevered annualized project IRR	12.52%	Monthly CF tab	Includes construction and Year-10 sale.
Levered annualized equity IRR	16.81%	Monthly CF tab	Sensitive to exit assumption.
Equity cash multiple	3.93×	Monthly CF tab	Before taxes; modeled proceeds.
Year-10 sale proceeds	**$230.52m**	**Landlord tab**	**Terminal cash after sale costs and loan payoff.**

Interpretation / limitation: Annual cash distributions are distinct from terminal sale proceeds. Construction and operating horizons are fixed in the model.

Source: Monthly CF tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E11 | How large is the addressable market?

Where do capacity, rent and supply statistics actually apply?

GII CONTROL POINT | Growth in national GW cannot substitute for a financed tenant, firm deliverable power and local competitive conditions.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
THREE CBRE MARKETS | H1 2026 SNAPSHOT			
Northern Virginia inventory	4,496.5 MW	Market tab	Market inventory, NOT vacant or new capacity.
Northern Virginia available MW	10.8 MW	Market tab	Within publisher's market scope.
Silicon Valley inventory	509.2 MW	Market tab	Geography ≠ just City of Santa Clara.
Silicon Valley available MW	21.2 MW	Market tab	Different from construction MW.
Phoenix inventory	1,069.2 MW	Market tab	Compare date and definitions.
Phoenix available MW	12.1 MW	Market tab	Do not interpret as actual project demand.
NATIONAL CAPACITY | DIFFERENT REPORTING UNIVERSES			
CBRE primary-market existing supply	10,903.0 MW	Market tab	Existing supply in CBRE-defined primary markets.
CBRE primary-market construction	7,481.1 MW	Market tab	Pipeline under construction, not operating.
CBRE primary-market preleasing	80.4%	Market tab	Share within reported construction universe.
JLL North America construction	>66 GW	Market tab	Different source coverage; not additive.
SILICON VALLEY INVESTOR SCREEN			
Case / SV existing inventory	1.96%	Market tab	Not a market-share prediction.
Case / SV available MW	47.17%	Market tab	Availability is fragmented; cannot assume 10 MW block.
SV under construction	144.0 MW	Market tab	Commissioning dates matter.
SV recent net absorption	22.0 MW	Market tab	Reported over H1 2026.
Property-level competitive screen	REQUIRED	MISSING	Requires actual contiguous site/lease comps.

Interpretation / limitation: Broker universes differ. The JLL figure is greater than 66 GW, not an exact 66 GW observation. Availability can be fragmented; a case/inventory ratio is not projected market share.

Source: Market tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E12 | CoreWeave versus Nebius

Why is the named counterparty not the complete credit story?

GII CONTROL POINT | Follow the named legal tenant, available cash, guarantees and lien priorities—not the recognized customer or investor logo.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
BALANCE-SHEET SNAPSHOT | JUNE 30, 2026			
CoreWeave assets	$77.07bn	Tenant Credit tab	Issuer consolidated, not project-specific.
Nebius assets	$27.96bn	Tenant Credit tab	Issuer consolidated, not project-specific.
CoreWeave total liabilities	$72.05bn	Tenant Credit tab	Includes more than funded debt.
Nebius total liabilities	$17.62bn	Tenant Credit tab	Cannot infer creditor priority.
CoreWeave book equity	$5.02bn	Tenant Credit tab	Book value, not available guarantee cash.
Nebius book equity	$10.34bn	Tenant Credit tab	Book value, not liquidation value.
CoreWeave assets / equity	15.34×	Tenant Credit tab	Accounting leverage, not default likelihood.
Nebius assets / equity	2.70×	Tenant Credit tab	Not funded debt/equity.
LEASE LIABILITIES | DO NOT COMPARE WRONG DENOMINATORS			
CoreWeave total operating leases	$16.32bn	Tenant Credit tab	Current plus non-current.
Nebius total operating leases	$1.63bn	Tenant Credit tab	Current $114.9m + non-current $1,510.4m [6].
Nebius leases not yet commenced	$12.05bn	Tenant Credit tab	Estimated future undiscounted payments; distinct from recognized liabilities.
LANDLORD CREDIT CHECKLIST			
Exact legal tenant entity	REQUIRED	UNRESOLVED	Obtain agreement and structure chart.
Executed parent guarantee	REQUIRED	UNRESOLVED	Name and terms—not name recognition.
Committed-to-billed-to-cash bridge	REQUIRED	UNRESOLVED	Backlog is not rent cash.
Collateral and lien priorities	REQUIRED	UNRESOLVED	Owned facilities may be pledged.
Re-leasing recoverable value	REQUIRED	UNRESOLVED	Technical fit and payment priority matter.

Interpretation / limitation: June 30, 2026 issuer-level amounts. Recognized liabilities are present values; future uncommenced commitments are undiscounted and must be evaluated separately. A parent company balance sheet does not establish legal lease recourse.

Source: Tenant Credit tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E13 | GMI Cloud: public financing disclosure

What do public financing amounts prove and not prove?

GII CONTROL POINT | A public fundraising announcement does not establish drawn borrowings, landlord recourse or a lease guarantee.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
PUBLIC FINANCING | NOT A PROPERTY GUARANTEE			
Series B equity	$223.00m	GMI Case tab	Issuer announcement of raised equity.
CTBC-led credit facility	$445.00m	GMI Case tab	Availability and draw terms not established here.
Total announced financing	**$668.00m**	**GMI Case tab**	**Equity + facility ≠ unrestricted bank cash.**
Equity share of announced package	33.38%	GMI Case tab	Derived composition, not cost of capital.
Credit facility share	66.62%	GMI Case tab	Not actual outstanding debt.
Debt actually drawn	REQUIRED	NOT VERIFIED	Borrowing statement, available/undrawn amount.
Interest, maturity and covenants	REQUIRED	NOT VERIFIED	Executed financing documentation.
Collateral and payment restrictions	REQUIRED	NOT VERIFIED	Security documentation and cash waterfall.
Contracted ARR → cash collected	REQUIRED	NOT VERIFIED	Reconcile deployment, billing and collections.
Executed property rent guarantee	REQUIRED	NOT VERIFIED	Must exist at exact tenant/guarantor entity.
VALLEY101 | SPEAKER OBSERVATIONS			
Lease vs compute contract clock	SOURCE	GII Valley101 report [25] pp. 20–21	Attributed typical 12–15 vs 4–6 years, NOT an actual deal.
Cloud utilization	SOURCE	GII Valley101 report [25] pp. 22–23	Paid utilization is not landowner occupancy.
Lockbox and SPV example	SOURCE	GII Valley101 report [25] p. 21	Speaker illustration, NOT confirmed GMI transaction.
International financing	SOURCE	GII Valley101 report [25] p. 19	All-in FX-hedged cost required.

Interpretation / limitation: Company-issued announcement and attributed discussion. Not sponsored, funded, commissioned or endorsed by GMI Cloud. No actual GMI property lease, cost budget or operating forecast is modeled.

Source: GMI Case tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E14 | What makes the lease financeable?

Which contract terms convert MW into collectible rent?

GII CONTROL POINT | Convert a technically accepted facility into a binding, bankable rent stream with clearly assigned operating obligations.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
THE FACILITY LEASE | KEY INSTITUTIONAL QUESTIONS			
Land and permanent facility scope	REQUIRED	Lease Screen tab	Obtain title, demarcation and equipment schedule.
10 MW IT delivery	REQUIRED	Lease Screen tab	Engineer scope and executable utility commitments.
Gross capacity rent	REQUIRED	Lease Screen tab	Confirm OPEX included; power separately billed.
Contractual billability	REQUIRED	Lease Screen tab	Acceptance, milestones, free rent and phase-in.
Electricity reimbursement	REQUIRED	Lease Screen tab	Tariff, metering, deposits and payment timing.
Rent and cost escalators	REQUIRED	Lease Screen tab	Underwrite actual signed clauses.
15-year term assumption	REQUIRED	Lease Screen tab	Five years of term remain at sale.
Service levels and remedies	REQUIRED	Lease Screen tab	Nonperformance can cause abatement.
Legal tenant and support	REQUIRED	Lease Screen tab	Guarantee must be executed and enforceable.
Re-leasing / retrofit	REQUIRED	Lease Screen tab	Collateral and tenant equipment rights matter.
DECISION GATES			
Power and permits	REQUIRED	Lease Screen tab	PAUSE major binding capital; verify conditions.
Budget and construction	REQUIRED	Lease Screen tab	Obtain matched bids and milestone schedule.
Lease and credit	REQUIRED	Lease Screen tab	Review exact entity, payment security and remedies.
Refinancing and exit	REQUIRED	Lease Screen tab	Test loan maturity and residual occupancy.

Interpretation / limitation: REQUIRED identifies documents still to be obtained. No executed site, service, lease, guarantee or financing agreement forms part of this illustrative case.

Source: Lease Screen tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E15 | Who funds the downside?

What additional cash is required when project timing or payments fail?

GII CONTROL POINT | The decisive question is who must contribute the next dollar when power, rent collection or refinancing slips.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
POWER DELIVERY DELAY | REQUIRED EXTRA CASH			
6-month delay	$5.43m	Downside tab	Interest plus fixed construction carry.
12-month delay	$10.86m	Downside tab	Equity-funding scenario; not new capex budget.
24-month delay	$21.71m	Downside tab	Actual extension fees could be additional.
TENANT INTERRUPTION | CASH REQUIREMENT			
Rent-interruption assumption	3 months	Downside tab	Months without collection.
Electricity recovery delay	1 month	Downside tab	Utility bills funded but unrecovered.
Re-leasing/retrofit assumption	$5.00m	Downside tab	Not an engineer's quotation.
Fixed property cost during gap	$1.81m	Downside tab	Cannot turn all expenses off.
Debt service + reserve during gap	$2.30m	Downside tab	Contractual debt clock keeps running.
Unrecovered power cash	$1.34m	Downside tab	Cash timing/collection exposure.
Re-leasing/retrofit costs	$5.00m	Downside tab	Illustrative one-time bill.
TOTAL ADDITIONAL CASH NEEDED	**$10.45m**	**Downside tab**	**Separate from forfeited rent comparison.**
REFINANCE SCREEN | END OF YEAR FIVE			
7% appraisal cap | new debt capacity	$155.44m	Downside tab	Subject to both LTV and coverage.
9% appraisal cap | new debt capacity	$135.32m	Downside tab	Borrowing capacity can be constrained.
11% appraisal cap | principal gap	$6.22m	Downside tab	Additional equity funding at maturity.
11% appraisal cap | incl. fees	$7.33m	Downside tab	Debt payoff shortfall plus origination cash.

Interpretation / limitation: Screens are independent and do not update base-case IRR. Delivery delay, tenant interruption and Year-5 refinancing are different cases; do not add their outputs automatically.

Source: Downside tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E16 | Source-to-model traceability

Can another analyst replicate every important figure?

GII CONTROL POINT | Trace reported facts and teaching assumptions to the exact live model cell. Do not mix corporate disclosures and modeled leases.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
REPORT TO LIVE WORKBOOK | SELECT EXHIBIT LINKS			
Critical IT capacity	10 MW	Inputs tab	Rated IT capacity input.
Pre-financing uses	$194.90m	Development tab	Basis for the 60% loan advance.
Total Development Cost	**$207.73m**	**Development tab**	**Land + hard + soft, incl. finance.**
Loan principal	$116.94m	Development / Construction tabs	60% of pre-financing uses.
Initial equity	$90.79m	Development tab	TDC less loan principal.
Construction interest	$11.66m	Construction tab	Equity-funded; within TDC.
Year-one capacity rent	$27.00m	Landlord tab	10,000 kW × $225 × 12.
Annual electricity	$16.10m	Power tab	Recovered at cost from the tenant.
Property NOI	$19.75m	Landlord tab	Rent less non-power expenses.
Cash to equity	$10.56m	Landlord tab	After reserve and interest.
Levered IRR	16.81%	Monthly CF tab	Monthly series, annualized.
Equity multiple	3.93×	Monthly CF tab	Equity receipts / equity funded.
Terminal property value	$354.56m	Landlord tab	Year-11 NOI / 7.00% exit cap.
Annual energy	101,265.6 MWh	Power tab	IT energy × 1.36 PUE.
Integrated all-in capital	$442.73m	Integrated tab	Property + IT equipment + working capital.
12-month delivery delay	$10.86m	Downside tab	Extra interest plus fixed carry.
GMI announced financing	$668.00m	GMI Case tab	Equity + credit facility, as announced.

Interpretation / limitation: Named working tabs identify where to examine each calculation or disclosure. Exact formulas remain in Excel; this publication table does not refresh automatically after model changes.

Source: Trace tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.

APPENDIX | UNDERWRITING MODEL EXHIBIT

E17 | Workbook model controls

Which model boundaries and arithmetic linkages are checked?

GII CONTROL POINT | Arithmetic checks establish model coherence, not engineering feasibility, legal enforceability or transaction credit.

Metric / underwriting question	Value / status	Model tab / published source	Interpretation
AUTOMATED ARITHMETIC CHECKS | MODEL COHERENCE			
Sources equal development uses	PASS	Checks tab	PASS if modeled cash sources reconcile.
Construction equity reconciliation	PASS	Checks tab	PASS if funding schedules reconcile.
Construction debt reconciliation	PASS	Checks tab	PASS if loan draws match commitment.
Monthly equity schedule reconciliation	PASS	Checks tab	PASS if equity outflows match initial equity.
Electricity pass-through balance	PASS	Checks tab	PASS if reimbursements equal modeled expense.
Integrated internal rent elimination	PASS	Checks tab	PASS if intercompany rent cancels.
24-month construction structure	PASS	Checks tab	PASS only for the fixed horizon.
10-year operating hold structure	PASS	Checks tab	PASS only for the fixed horizon.
Lease covers planned hold	PASS	Checks tab	Legal renewal rights still unexamined.
Reserved billability in range	PASS	Checks tab	Only arithmetic, not executed lease.
IT electrical loading in range	PASS	Checks tab	Only arithmetic, not operating data.
PUE at least one	PASS	Checks tab	Engineering performance not independently tested.
Required positive modeling inputs	PASS	Checks tab	Prevents obvious invalid denominators.
GMI financing totals reconcile	PASS	Checks tab	Announcement composition, not capital availability.
IMPORTANT LIMITATION			
ALL CHECKS PASS ≠ INVESTMENT APPROVAL	**REQUIRED**	**DILIGENCE**	**Power, signed lease, engineering, tenant credit unverified.**
Land + Hard + Soft reconciles	PASS	Checks tab	Classification equals TDC.
Development Yield reconciles	PASS	Checks tab	NOI / TDC equals the stated measure.
Year 1 stabilization convention	PASS	Checks tab	Full billability is assumed, not verified.

Interpretation / limitation: PASS is the recorded model result, not an engineering, legal, credit or investment approval. Checks test only the conditions expressed by their formulas.

Source: Checks tab of GII 10MW Underwriting. The exhibit is a publication snapshot. Detailed formulas and evidence remain in Excel.